



annual report 2013-14



Working towards the robust development of the microfinance sector through responsible finance practices amongst its members

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President's Message



Dear Friends,

The Microfinance Industry today, stands poised on the brink of reinventing itself as we come to a close of the financial year 2013-14. There are several exciting developments which bear a promise of the way ahead for the industry. Business, ex-AP, has grown by more than 50% which brings cheer in the face of the debacle we have all been through. MFIN has received formal recognition as Self-Regulatory Organization (SRO) from the Reserve bank of India, and, one of our esteemed Members has received approval to become a bank, which allows all of us to hope. The changing face of financial inclusion well flagged by the Nachiket Mor Committee Report and the consequent developments in the banking firmament have paved the way for differential banking and we look forward to our members making that space their own.

MFIN has received formal recognition as an SRO on 16th June, 2014, which in essence will give the Sector much greater credibility. We will be the first SRO in the country to act on behalf of the Reserve Bank of India (RBI). By acting as an agency of the RBI, it will act as a self-regulating body that will ensure high levels of governance and regulatory compliance in a transparent manner. Apart from building a robust environment to function in, the structure and hygiene this ensures will lead to a positive view of the sector by various stakeholders, including banks and other financial institutions. We need to practice the highest levels of client protection, demonstrate responsible lending practices and have in place an effective client complaint resolution process.

The Bye Laws of MFIN have been amended to reflect this evolution and in an effort to be inclusive as well as to take the financial inclusion out on to a much broader platform, a category called Associates has been evolved. Whereas only NBFC-MFIs can be MFIN members, other stakeholders in the dialogue can be part of a much broader financial inclusion ecosphere as Associates.

In an efforts to ensure a well-balanced Board and also to take on board RBI's requirement for external Board members, three independent Directors have been brought on to the Governing Board. We are privileged to have on the Board Vinay Baijal, Rajat Kathuria and Sanjay Sinha, experts in their own field.

An indication of how perception of the NBFC-MFI sector is changing is visible in the granting of approval for a banking licence to Bandhan, one of our Members. The fact that only two approvals were accorded, one to an infrastructure company whose ticket size runs into crores and one to one of our Members, whose largest ticket size cannot exceed Rs 50,000 speaks of where we have come to after the debacle of 2010. The fact that Chandra Shekhar by passed many large industrial houses to get this licence is a feather in our collective cap. One that allows all of us to hope that, that, is our future. To be able to go on to becoming differentiated banks.

The journey of a thousand miles begins with one step. MFIN's engagement with the Mor Committee from the time of its inception has augured well for the Sector. Our views were taken on board and based on several inputs from MFIN, the Mor Committee's recommendations have only been favourable as far as the NBFC-MFIs are concerned. While Malegam Committee's recommendations gave rise to the SRO, the Mor Committee recommendations on specialized banks are expected to give birth to institutions which foster comprehensive financial inclusion. Today's 'one model fits all' needs to be relooked at thoroughly and NBFC-MFIs need to have the flexibility around lending instead of being tied to the 85% 'qualified asset' model. The issues and challenges being faced by the industry are many. While several of these were brought to the attention of the Mor Committee, particularly in the case of NBFC-MFIs, banks and inst itutions like ours need to have a level playing field. Priority Sector Lending norms

need to be institution agnostic and not defined separately for banks and differently for other players.

Inclusive finance acts as a catalyst for the agenda of achieving inclusive growth. It is now acknowledged that the traditional banking structure is not geared to achieve financial inclusion. NBFC-MFIs have demonstrated that by including those that do not have access to regular banking channels, they have been able to provide what Malegam called 'Easy finance' to the unbanked and the under banked by providing financial services at an affordable cost. Today the industry serves 2.8 crores clients with a portfolio outstanding of Rs 27,931 crores. These numbers continue to swell by the day, not because of aggressive growth of the industry but because of the credit appetite that exists. The evolution and growth of the industry over time also demonstrates that competition is the only way to guarantee through time that the value-added created by commercial microfinance approach flows not only to investors and organizations, but also to the customers at the base of the pyramid. The industry has not merely been successful in offering financial services but also delivering high social value. Many of the member institutions are offering not just credit services, but also insurance, pension and facilitating opening of bank accounts. Financial literacy, health, education, renewable energy. These are some of the high social impact areas where our members have extended their scope and outreach.

I thank our outgoing Directors for their contribution and strategic guidance in helping to address the complexities and challenges associated with the work that we do. I would like to place on record how greatly I have valued the insights offered by the Vice-President Chandra Shekhar Ghosh. We have been an active and an engaged Board and have tried to work hard to bring the sector back to its rightful place after the

crisis of 2010.

I formally place on the table the Board's appreciation to the Enforcement Committee and all the Task Forces which have made sure the Code of Conduct we have adopted for ourselves are complied with, and worked towards promoting the advocacy agenda in different areas like insurance & taxation.

I thank the MFIN Secretariat, who may be small in numbers but seem to be able to extend endlessly in the performance of their tasks under the leadership of the CEO Alok Prasad. Special mention must be made for the teams which produces the Micrometer, which is an industry bell weather and the MFIN quarterly updates to bring about more transparency in our activities for the members. I have the confidence that the MFIN team will establish the SRO successfully and the strong advocacy agenda that take MFIN members towards the goal of total financial inclusion of our customers.

Yours truly,

Samit Ghosh
PRESIDENT

27th June 2014



CEO's Message



"None of us is as good as all of us."

Pat Harris, McDonald's

Dear Friends,

Looking at where the microfinance industry (NBFC-MFIs) stands today, one is reminded of the saying attributed to the renowned 16th century political thinker, Niccolo Machiavelli, 'Never waste the opportunity offered by a good crisis'. Just two years ago, the overall sentiment and the prognosis for the industry was one of uncertainty melded with gloom. Today, the gloom stands transformed into an outlook full of cheer and positivism. This remarkable turn-around and that too in such a short span of time is an achievement which is, perhaps, unparalleled in the annals of financial services, globally. More than anything else, this evidences the faith which clients have continued to repose in the industry, notwithstanding the political headwinds and operational challenges. Alongside, it is a tribute to the immense efforts made by the members to reshape and reenergise their organisations. And, happily, the industry now is poised to achieve greater heights, greater recognition and greater legitimacy.

In specific terms, the industry's progress in the year 2013-14, can be seen by the following key indicators:

- As on 31st March 2014, NBFC-MFIs provided credit to over 2.88 crore clients
- The industry Gross Loan Portfolio stood at Rs 27, 931 crores
- Total Number of NBFC-MFI branches stood at 9,780
- A fully functioning Credit Bureau ecosystem in place with over 3 crore unique client records being refreshed on a weekly cycle
- Micro-insurance provided to around 3 crore clients

As the industry association, for the most part, we mirror the industry's progress. Of the myriad positive developments that took place during the year, MFIN's recognition as the SRO for NBFC-MFIs by the Reserve Bank of India (RBI), was the most striking. An unprecedented policy measure, a brave 'experiment' in regulatory architecture; a huge responsibility; and a matter of pride for all of us. I believe this recognition by the RBI demonstrates, as strongly as anything can, that the industry has come of age. We will strive to build a framework of self-regulation which unequivocally establishes the value and success of this model. We will do this constructively, consultatively, with collegiality and, of course, with the support of all our members and other stakeholders.

While the industry has made great strides, it is important to bear in mind that continuous reinvention is the mantra in today's rapidly changing world. In its early years, the microfinance industry started in the non-profit mode. With the call to scale-up, the industry transformed to a 'for profit' form. Arguably, the time is now fast approaching for the next big leap – becoming a 'Small Bank'. Not merely as an aspiration, but as the way to better serve clients belonging to the BoP segments, this does appear to be the way forward. And, I look forward to an increasing number of MFIN's members being able to make this leap.

Reinventing remains the guiding principle for us (the MFIN Secretariat) too. We will strive to continuously evolve and adapt to the changing environment so as to better serve our members and all other stakeholders in the financial inclusion space.

I would like to thank the members, the MFIN President, the Board and the team for the dedication, the energy and the time given for making MFIN what it is today. Support of the RBI, the Central / State governments, other stakeholders and partners has been pivotal to our success. My grateful thanks to them too.

Universal access to financial services has been a key plank of public policy for over five decades. And, as we know well, financial inclusion can be a powerful accelerator of economic progress. MFIN, through its members, has been and shall continue to be a significant lever for the realisation of the national financial inclusion goals.

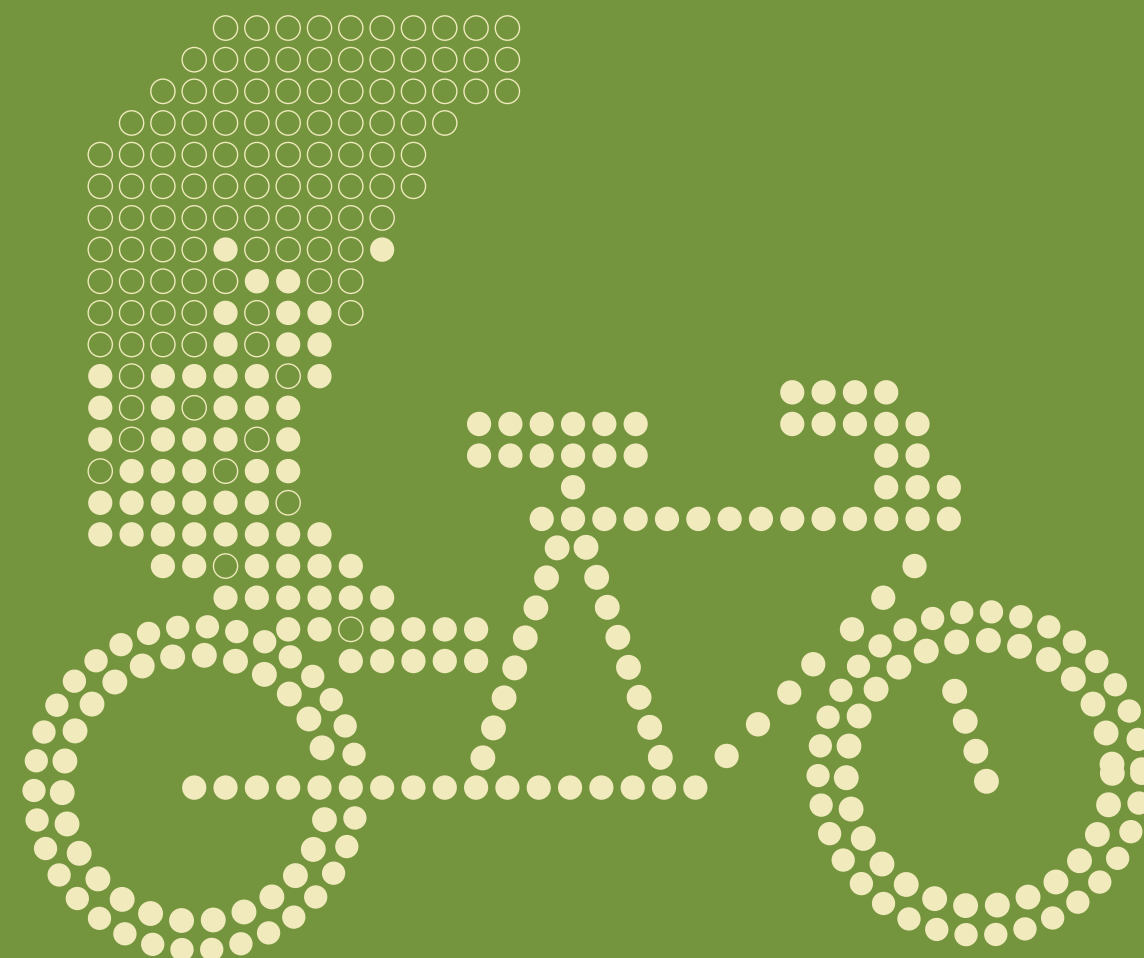
Warm Regards

Alok Prasad
CEO

27th June 2014



An engine of inclusive growth for India, MFIN helps provide financial services to low income households in a responsible and transparent manner, thereby helping them build sustainable livelihoods.



Microfinance Industry Background

Microfinance in India started in the late 1980s in response to the gap in availability of banking services for the unserved and underserved. Majority of the institutions that forayed into this sector were from the social sector and hence the legal entities comprised of trusts, societies or section 25 companies. As the industry continued to grow, the non-profit form was a limiting factor in making these institutions sustainable and scalable. Over the years, many of these MFIs grew significantly and transformed into for-profit Non Banking Finance Companies (NBFCs), thus moving towards a more regulated legal setup. Based on the recommendations of the Report of the Reserve Bank of India (RBI) Malegam Committee, RBI created a new category of NBFCs for institutions specializing in microfinance called NBFC-MFIs (Non Bank Finance Companies – Micro finance Institutions) in December 2011.

What sets NBFC-MFIs apart is the fact that they do not depend on grants or subsidies to provide unsecured loans to people with low incomes and no access to the banking system. Instead, they have used market oriented solutions that encourage self-reliance and entrepreneurship amongst their clients. As on 31st March 2014¹, NBFC-MFIs have provided credit to over 2.88 crores low income clients pan India, with total lending in excess of Rs 27,931 crores.

1. The industry data presented in the Report is as of 31st March 2014. However, MFIN's Plan & Budget Year is from July-June and hence all MFIN's activities covered in the Report pertain to the period 1st July 2013 to 30th June 2014.

MFIN Genesis

Microfinance Institutions Network (MFIN) was set up in October 2009 as a Society under the Andhra Pradesh Societies Registration Act 2001 as the primary representative body of NBFCs - MFIs in the microfinance industry. As per its Bye-Laws, all financial institutions that are "substantially engaged in the business of microfinance" and are registered as NBFC-MFIs, are eligible for membership to MFIN. Structured as a Self-Regulatory Organization (SRO) of the RBI regulated NBFC-MFIs, MFIN has been supporting an effective framework for responsible lending and client protection for the industry. MFIN works closely with regulators and other key stakeholders and plays an active part in the larger financial inclusions dialogue through the medium of microfinance.

MFIN ensures orderly development of the industry through enforcement of; industry code of conduct, compliance of regulatory prescriptions and development of responsible finance practices amongst its members.

Membership

The membership of MFIN is open to RBI regulated, NBFC-MFIs. All applications for the new membership go through a well laid out process including an on-site due-diligence and Board review. As members, NBFC-MFIs become part of peer community that shapes the strategic directions of MFIN and the industry and subscribe to the industry Code of Conduct and other MFIN standards. As of 31st March 2014, MFIN has 45 members, diverse in size and geographic spread.

VISION

To be an engine of inclusive growth for India and help provide financial services to 100 million low income households by the year 2020, in a responsible and transparent manner, thereby helping them build sustainable livelihoods.

OBJECTIVES

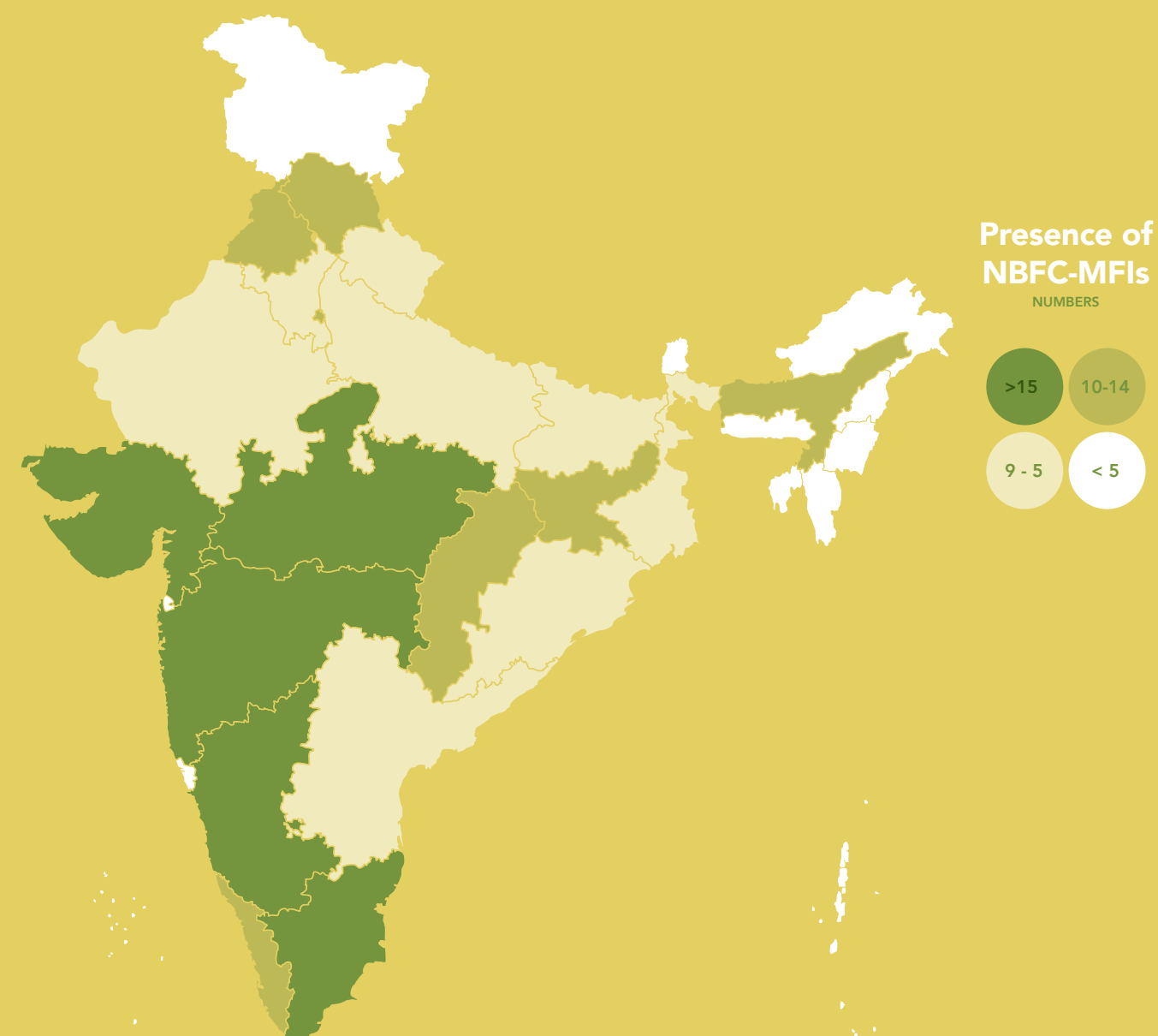
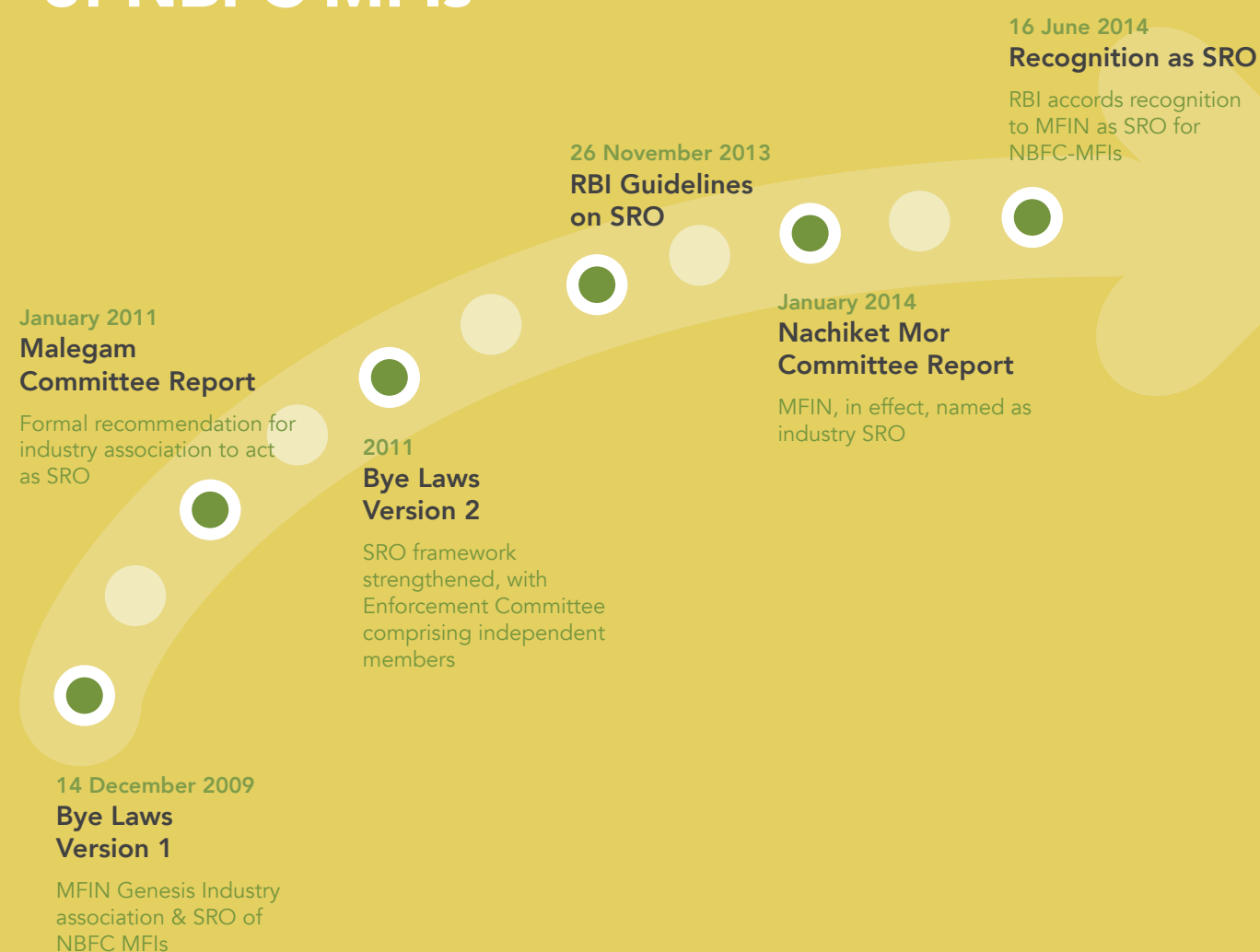
MFIN's primary objective is to work towards the robust development of the microfinance sector, by promoting:

- **Responsible lending**
- **Client protection**
- **Good Governance, and**
- **A supportive regulatory environment**

MFIN Journey

..so far and looking forward

The Reserve Bank of India (RBI) vide its letter dated 16th June 2014 accorded recognition to Micro Finance Institutions Network (MFIN) as Self Regulatory Organisation (SRO) of NBFC-MFIs



MFIN MEMBERS'
Consolidated Operations Overview
31st March 2014

9,780
BRANCHES

67,838
EMPLOYEES

2.88
crores
CLIENTS

27,931
Rs. crores
GROSS LOAN PORTFOLIO

2,440
(Annual Rs) crores
LOANS DISBURSED



Microfinance Industry Core Strengths

RBI Regulated

Well regulated & MFIN as SRO

Delivery Model

Doorstep delivery of services to clients

Bouquet of Products

Microcredit, Microinsurance, Micropension

Underbanked Districts

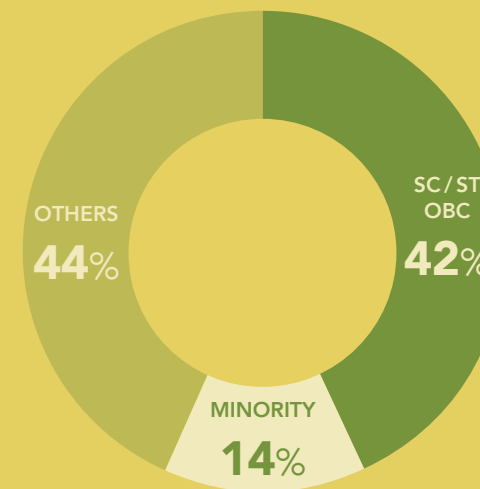
Presence in unserved & underserved districts

Financial Literacy

Financial literacy modules integrated to product delivery

Local Staff

Local employees, local culture, high customer connectedness



NBFC-MFIs primarily serve low income households, both rural & urban

95%
WOMEN
CLIENTS

42%
SC/ST
OBC



Microcredit
Upto Rs 50,000



Micro-Insurance
& Pension



Financial
Education



Livelihood
Services



NEW MEMBERS

Annapurna Microfinance

Annapurna Microfinance Pvt. Ltd. (AMPL), is a microfinance venture of People's Forum which is more than two decades old development organization based in Bhubaneswar. It is a NBFC-MFI regulated by the RBI. The company is promoted by Mr. Gobinda Chandra Pattanaik. In November 2009, People's Forum acquired Gwalior Finance and Leasing Company, an NBFC registered in Varanasi (Uttar Pradesh). The name of the NBFC was changed to Annapurna Microfinance Private Limited (AMPL) in February 2010.

Sahayog Microfinance

Sahayog Microfinance Ltd. is a NBFC-MFI headed by Mr. Amul Urdhwaresh and currently operates in Bhopal, Betul, Hoshangabad and Chhindwara districts of Madhya Pradesh. Sahayog has plans to operate across the state of Madhya Pradesh with focus on regions underserved by microfinance institutions and where a large number of poor households lack access to financial services. The operations are carried out in the name of Sahayog Microfinance Ltd. (formerly known as Shraddha Properties and Finance Ltd.).

Jagaran Microfin Pvt Ltd

Jagaran Microfin Pvt. Ltd., a Kolkata based NBFC-MFI, started operations during December 2010 by acquiring the NBFC license of SBT Consultants Pvt Ltd. The word "Jagaran" has been derived from Sanskrit and means "a state of wakefulness". Jagaran intends to awaken the economically challenged sections of the society, rid them of despair and assist them in building a better life.

Svasti Microfinance

Svasti Microfinance Pvt. Ltd. is an urban microfinance institution. It started its operation in October 2008 to cater to the financial needs of the low income segment of society in Mumbai. It provides loans to women Joint Liability Groups (JLGs). In near future, it aims to become a comprehensive financial service provider, delivering customized loan products, facilitating savings and satisfying insurance needs of the people in the target segment

Jagdhan Finance & Investment

Jagdhan is a Mumbai based MFI created specifically to cater to the needs of the urban unbanked. It began operations in December 2011 with the ambition of playing a significant role in expanding financial services to the urban poor. The company currently trades as Jagdhan Finance and Investment Limited but is going through the process of renaming it as 'Agora Microfinance India Limited' (AMIL). Jagdhan provides tailor-made products and services to the entrepreneurial population in the Mumbai slums.

Varam

Varam Capital Pvt. Ltd. is a Chennai based NBFC-MFI. Varam (formerly known as Karpaga Ganapathi Investments) is promoted by Mr. K Pandiarajan and Ms. Latha Rajan of Ma Foi Group. Established in the year 2011, Varam Capital currently has a portfolio of Rs 4.5 crores, with membership base of over 9,500 women.

Margadarshak Financial Services

Margdarshak Financial Services Ltd. is a Lucknow based NBFC-MFI. Margdarshak was formed in December, 2009 by acquisition of "Crony Leasing & Finance Limited". It is led by Mr. Rahul Mitra, who has over 14 years of experience in development sector including extensive experience in micro finance and micro enterprise development. Margdarshak hived off its microfinance operation into a separate NBFC in 2010.

ASSOCIATES

While MFIN membership is confined to the retail NBFC-MFIs (who provide financial services directly to the clients), as industry association MFIN has continuously engaged with a diverse range of stakeholders as they are integral to the development and growth of the industry.

In order to ensure a closer engagement with such stakeholders it was decided that other stakeholders with a lasting bearing on the financial inclusion dialogue be brought on board under a new category of Associates. A diverse group of entities, all of whom add value to the Sector with their expertise and experience are eligible for Associateship.

Following categories of institutions are eligible for Associateship:

Banks

All Scheduled Commercial Banks (SCBs), State cooperative banks and Regional Rural Banks (RRBs)

NBFCs

RBI Recognized

Housing Finance Companies

National Housing Bank (NHB) Recognized

Insurance Companies

Insurance Regulatory Development Authority (IRDA) regulated

Business

Correspondents (BCs)

All recognized BCs of SCBs

Private Equity Social Investors

All investors, Venture Capital / Private Equity approved by Securities & Exchange Board of India (SEBI)

Credit Bureaus

RBI recognized

Development Finance Institutions (DFIs)

Domestic and international, bilateral and multilateral agencies

Rating Agency

RBI recognized

Telecom Companies

Telecom Regulatory Authority of India (TRAI) regulated

Think Tanks

National & International think tanks engaged in economic & banking policy issues including financial inclusion

Foundations

Domestic & International

NBFC-MFI: RBI DEFINITION

RBI in December 2011, created a new category of NBFCs titled NBFC-MFI. NBFC-MFIs are required to have not less than 85% of the net assets in the nature of 'qualifying assets', satisfying the following criterion:

Loan disbursed by an NBFC-MFI to a borrower with a rural household annual income not exceeding Rs.60,000; for urban and semi-urban household income not exceeding Rs.1,20,000

Loan amount does not exceed Rs.35,000 in the first cycle and Rs.50,000 in subsequent cycles

Total indebtedness of the borrower does not exceed Rs.50,000

Tenure of the loan not to be less than 24 months for loan amount in excess of Rs.15,000 with prepayment without penalty

Loan to be extended without collateral

Aggregate amount of loans, given for income generation, is not less than 75 per cent of the total loans given by the MFIs



governance

Policies and structures form the backbone of MFIN's governance system, ensuring healthy development of the NBFC-MFI industry.

Governance Systems

A system of laid out policy documents and governance structures form the backbone of good governance system at MFIN. The association is governed by the provisions of Andhra Pradesh Societies Registration Act 2001, under which it has been awarded a certificate of registration as a society, dated 14th December 2009.

Bye-laws

The MFIN bye-laws adopted by the members, clearly spell out role and responsibilities of various governing structures and their workings. The bye-laws are regularly adapted by the members to meet the changing landscape. In January 2014, the bye-laws were amended in response to the regulatory guidelines on SRO.

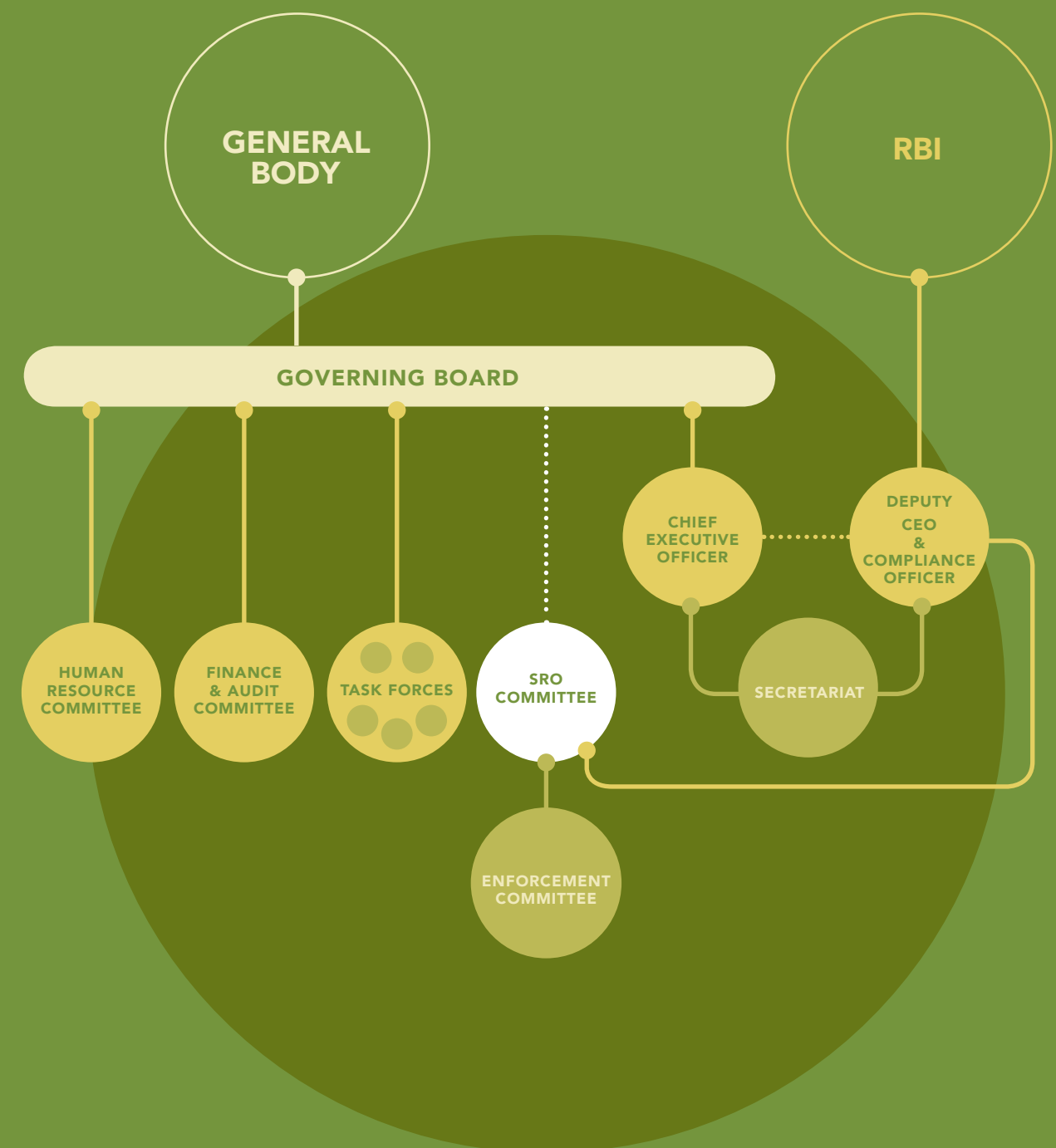
General Body

The General Body is constituted of all the members of the MFIN and is the supreme governing body. General Body meets once a year and is responsible for the overall vision and purpose of the Society and make and implement policies for the working of the Society.

Governing Board

The current bye-laws provide for maximum of twelve directors, one third being independent directors. The term of each member of the Board is three years. A member who has served the Board for a term of three years may stand for election only after a gap of at least one year. The "Fit and Proper" criteria, as prescribed by the RBI from time to time, is a necessary requirement for becoming a member of the Board. The Board is dissolved and re-elected every three years at its Annual General Meeting (AGM).

For the year 2013-14, MFIN has a twelve member Governing Board, nine elected from amongst the leadership of its member MFIs, and three being Independent Directors. These Member-Directors on the Governing Board were elected in the MFIN AGM held on 29th June 2013. The Independent Board members were nominated as per the requirements of the revised MFIN Bye Laws in February 2014. The Board supports the broad goals of the network and provides overall direction to its activities for ensuring the healthy development of the NBFC-MFI industry.



Governing Board



SAMIT GHOSH



C S GHOSH



GOVIND SINGH



SURESH KRISHNA



K PAUL THOMAS



V S RADHAKRISHNAN



MANOJ KUMAR NAMBIAR



VINAY BAIJAL



M R RAO



RAJAT KATHURIA



SAMEER NANAVATI



SANJAY SINHA



ALOK PRASAD

PRESIDENT

Samit Ghosh

CEO & MD, Ujjivan Financial Services

Samit Ghosh has been a member of the international banking community for over thirty years. He led the launch of retail banking for Standard Chartered in the Middle East and South Asia, and for HDFC Bank in India. His last commercial assignment was Chief Executive (India) of Bank Muscat. He is an alumnus of Jadavpur University and the Wharton School of the University of Pennsylvania.

VICE PRESIDENT

C S Ghosh

Chairman and MD, Bandhan Financial Services

C S Ghosh has served on the National Bank of Agricultural and Rural Development (NABARD) committee for State Level Review and Coordination of Credit Delivery Innovations. Mr. Ghosh has also been instrumental in defining policy for MFIs in his role as an advisor to Small Industries Development Bank of India (SIDBI).

Govind Singh

MD, Utkarsh Microfinance

Govind Singh has over two decades of banking experience with State Bank of Patiala, Surya Roshni group (Financial services), Bank International Indonesia, ICICI Bank, and Axis Bank. Prior to founding Utkarsh, Mr. Singh was the Business Head for Micro banking at ICICI Bank.

K Paul Thomas

MD, ESAF Microfinance and Investment

K Paul Thomas, before founding ESAF, worked for 18 years with IFFCO, the world's largest fertilizer cooperative. Paul holds a post graduate degree in business management. In recognition of his contribution to the industry, ILO Geneva invited him to deliver a lecture on the scope of microfinance for livelihood promotion. In 2010, International Labour Organization selected ESAF as one of its partners for implementing its Project Microfinance. ESAF Microfinance has won the prestigious Micro-insurance award constituted by Planet Finance and ING Group in 2007.

Manoj Kumar Nambiar

MD, Arohan Financial Services

Manoj has over 25 years of experience in consumer

finance & retail banking, starting with Modi Xerox, GE Countrywide, ANZ Grindlays & ABN Amro Bank in India. He then headed retail banking at National Bank of Oman, was COO at Alhamrani Nissan Finance Company, KSA and subsequently Dy. CEO of Ahli Bank in Oman. Manoj is a mechanical engineer from VJTI, Mumbai & a management post graduate from JBIMS, Mumbai. He also has tertiary qualifications in insurance. He is a director on the Boards of Intellecash Microfinance Network Company Pvt. Ltd., Intelicap Software Technologies Pvt. Ltd, is a member of the Credit Committee of Intellegrow & a trust member of ACSENT (the Harsh Mariwala, MARICO initiative).

M R Rao

MD & CEO, SKS Microfinance

M R Rao is an alumni of BITS Pilani and has over 25 years of experience. Before joining SKS in 2006, he was associated with ING Vysya Life Insurance, American Express, Standard Chartered Bank and Esanda Finanz & Leasing Limited. At SKS he been instrumental in, driving its rural distribution reach and scale-up.

Sameer Nanavati

CEO, Disha Microfin

Sameer has over 18 years of entrepreneurial experience spread across consumer

finance, development finance and management consultancy. Prior to microfinance foray, Sameer started a company which became one of the leading distributors of financial services in the state of Gujarat and which later expanded its branch network into Mumbai, Pune and Bangalore. He started his career at Gujarat Lease Finance Limited in the Retail Finance Division and then moved to Core Healthcare Ltd. During his stint in Corporate Planning department at Core, he led projects on strategic and sales planning. Sameer is a graduate in Mathematics and a Masters in Business Administration.

Suresh Krishna

MD, Grameen Financial Services

Suresh has been a development professional since 1997. He is the Secretary of the Association of Karnataka Microfinance Institutions (AKMI) and also the Chairman of Microfinance Focus and the Promoter and Director of EKAYANA Media Services Pvt. Ltd.

V S Radhakrishnan

CEO, Janalakshmi Financial Services

VS Radhakrishnan is the CEO of Bangalore headquartered Janalakshmi financial Services. He was

with HSBC for over 25 years where he held various senior positions before moving to ING Vysya Bank. He has been with Janalakshmi since August 2007. Radha has an MBA from Indian Institute of Management, Ahmedabad and also holds a CAIIB qualification from Indian Institute of Banking & Finance.

INDEPENDENT MEMBER

Vinay Baijal

Retired CGM, RBI

Vinay Baijal retired as Chief General Manager (CGM) from Reserve Bank of India (RBI) after working there for 35 years. Vinay worked as CGM, Department of Banking Operations and Development, Central Office RBI for four years, dealing with regulatory framework for foreign banks in India, with emphasis on International banking and Anti-Money Laundering. As CGM, Foreign Exchange Department, Central Office, RBI, he dealt with policy framing and implementation of exchange control in India. He was the founding CEO of Banking Codes and Standards Board of India (BCSBI). He also worked as a member of the SEBI "Committee on Mis-selling of Mutual Funds" in 2011-12. He is associated as a senior consultant with KPMG.





Board Committees

INDEPENDENT MEMBER

Rajat Kathuria

Director and Chief Executive, Indian Council for Research on International Economic Relations (ICRIER)

Rajat Kathuria worked with Telecom Regulatory Authority of India (TRAI) during its first eight years (1998-2006). He has worked with the World Bank, Washington DC as a Consultant and carried out project assignments for a number of organizations, including ILO, UNCTAD, Linde Asia, Ernst and Young, Consultancy Development Centre (CDC) and Standing Committee for Public Enterprises (SCOPE). He has an undergraduate degree in Economics from St. Stephens College, a Masters from Delhi School of Economics and a PhD degree from the University of Maryland, College Park.

INDEPENDENT MEMBER

Sanjay Sinha

Managing Director, M-CRIL

Sanjay founded M-CRIL as leading development consultancy firm which conducts assessments & ratings of microfinance institutions and provides research and other advisory services. Sanjay holds MPhil in Economics from Oxford University.

CHIEF EXECUTIVE OFFICER

Alok Prasad

Along with the Board of Directors, MFIN is led by Alok Prasad as its professional CEO. Alok is a veteran banker with over thirty years of both public and private sector banking and financial services experience. He was formerly the Head, Strategy & Business Development, of Citi Consumer Group, and Country Director of Citi Microfinance Group (India). He also served on the Boards of Citi Financial Ltd and Citicorp Maruti Finance Ltd. Prior to joining Citi, Alok had a long stint with the RBI, across various departments, in both Central and Regional Offices. He was also a member of the start-up team of the National Housing Bank, a statutory body wholly owned by RBI, where he played a pivotal role in the formulation of policies for the development of the housing finance sector in India.

Finance & Audit Committee

The Board sub-committee on Finance & Audit oversees the investment of surpluses and review the financials of MFIN on a quarterly and an annual basis.

The composition of this committee during 2013-14 was as under:

- C S Ghosh (chair)
- Manoj Nambiar
- V S Radhakrishnan

Human Resources Committee

The Board sub-committee on Human Resources (HR) is responsible for senior level hiring at MFIN and other HR related issues.

The composition of this Committee during 2013-14 was as under:

- Samit Ghosh (Chair)
- Govind Singh
- Suresh Krishna

SRO Governance

MFIN Bye Laws specify that it will act as the Self-Regulatory Organization (SRO) for the microfinance industry in India. To this end, it seeks to promote responsible lending, good governance and client protection measures designed to best serve the interests of low-income clients.

COMPLIANCE OFFICER

As required under the RBI Guidelines, MFIN has a dedicated Compliance Officer for oversight of the SRO functions within MFIN.



RATNA VISHWANATHAN

DEPUTY CEO & COMPLIANCE OFFICER

Ratna Vishwanathan

As Deputy CEO & Compliance Officer at MFIN, Ratna spearheads Self-Regulation and Communications activity. She brings to MFIN a combination of Government and development sector experience. Belonging to the 1987 batch of the prestigious Indian Audit and Accounts Service, she comes with extensive audit/finance experience across a range of Departments of the Govt of India. In the development sector she has served with distinction in well-known international NGOs such as Oxfam and VSO.

Self Regulatory Organisation Committee (SROC)

For proper discharge of the SRO role and exercising oversight for adherence to regulations and guidelines prescribed by the Reserve Bank of India from time to time, as well as the Code of Conduct of the MFIN by Members, there is a sub-committee of the Board designated as Self Regulatory Organisation Committee (SROC).

The SROC comprises of five (5) Directors of which two (2) are from amongst the Authorized Representatives of eligible Member institutions and the remaining three (3) members of the SROC are independent persons of eminence, whose appointment and remuneration will be approved by the Board. Of these three Independent members, at least two (2) are non-Board members.

The composition of the SRO sub-committee (March-June 2014) of the Board is as under:

- | | |
|--------------------|----------------------|
| 1. Govind Singh | Utkarsh Microfinance |
| 2. Sameer Nanavati | Disha Microfinance |
| 3. Sanjay Sinha | M-CRIL |

Enforcement Committee

For proper enforcement of the Code of Conduct and exercising oversight for adherence to regulatory norms prescribed by the Reserve Bank of India / Government / any other regulatory authority, MFIN has an Enforcement Committee (EC). The EC comprises of: five (5) members, of which two (2) are elected from amongst the authorized representatives of member institutions and three (3) members, are independent persons of eminence.

The EC is chaired by Mr. Vinay Bajjal, former CGM, RBI. Mr. R Baskar Babu from Suryoday is the Co-Chair. The members of the Enforcement Committee are as under:

ENFORCEMENT COMMITTEE MEMBERS

INTERNAL MEMBERS

- | | |
|------------------|---|
| Govind Singh | CEO & MD Utkarsh Microfinance Pvt Ltd |
| HKR Raghavan | COO, Equitas Micro Finance India Pvt Ltd |
| Prakash Sundaram | Chief Risk Officer, Future Financial Services Ltd |
| R Baskar Babu | CEO, Suryoday Micro Finance Pvt Ltd |

EXTERNAL MEMBERS

- | | |
|--------------|--|
| Anil Girotra | Former ED, Andhra Bank |
| Vinay Bajjal | Former CGM, RBI |
| Tara Nair | Associate Professor, Gujarat Institute of Development Research |

Task Forces

To assist MFIN in reviewing policy issues and act as linchpin for critical issues, MFIN has developed a system of task forces that are comprised of diverse members coming together on a subject of vital importance to the industry.

These Task Forces generally include internal and external members from MFIN member representatives as well as other diverse stakeholders. The Task forces are assisted by the MFIN Secretariat. Task Force members are appointed by the Board every year.

The year 2013-14 has a total of five Task forces. In addition to Task Force on Advocacy & Communications and Credit Bureau, three new Task Forces were formulated last year.

Advocacy and Communications

The Advocacy & Communications Task Force is responsible for engaging with the Reserve Bank of India, Central Government, State Governments, and other key stakeholders and decision makers. The Task Force holds regular dialogues with key policy makers to create a favourable operating environment for the Microfinance Industry. The Task Force is also responsible for managing the Communications strategy of MFIN. The members of the Task Force are as under:

ACTIVITY HIGHLIGHTS
The Task Force played an active role in engaging with the Parliamentary Committee on Microfinance Bill 2012. Towards shaping the national architecture for financial inclusion, the Task Force provided inputs for MFIN submissions to RBI on the Discussion Paper “Banking Structure in India- the Way Forward” & the “Committee on Comprehensive Financial Services for Small Businesses and Low Income Households”.

TASK FORCE MEMBERS
Samit Ghosh CEO & MD, Ujjivan Financial Services
Chandra Shekhar Ghosh CMD, Bandhan Financial Services
Ramesh Ramanathan Founder & Chairman Janalakshmi Financial Services
Veena Mankar Founder & MD Swadhaar Finserve

Credit Bureau

The Credit Bureau Task Force is responsible for developing the credit bureau eco system for the microfinance clients in the country. This Task Force is headed by Mr. V S Radhakrishnan, CEO Janalakshmi.

ACTIVITY HIGHLIGHTS
The Task Force played a significant role in framing rules and monitoring members’ compliance vis a vis MFIN Credit Bureau standards. The Task Force also provided technical support and oversight to MFIN-IFC project on ‘improving data quality of credit bureaus’. The Task Force engaged actively with the Credit Bureaus to support them in developing additional product and services for the sector including industry reports with early warning signals, regional match rates etc.

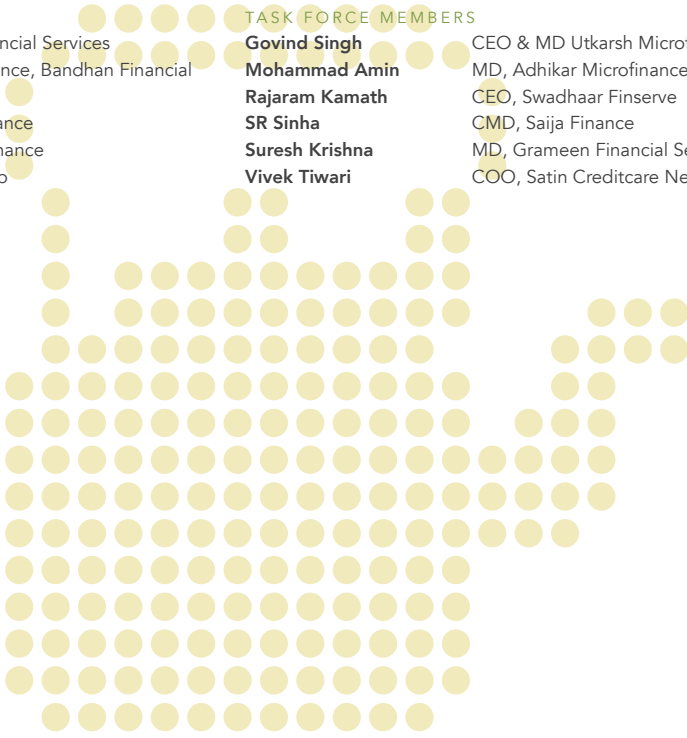
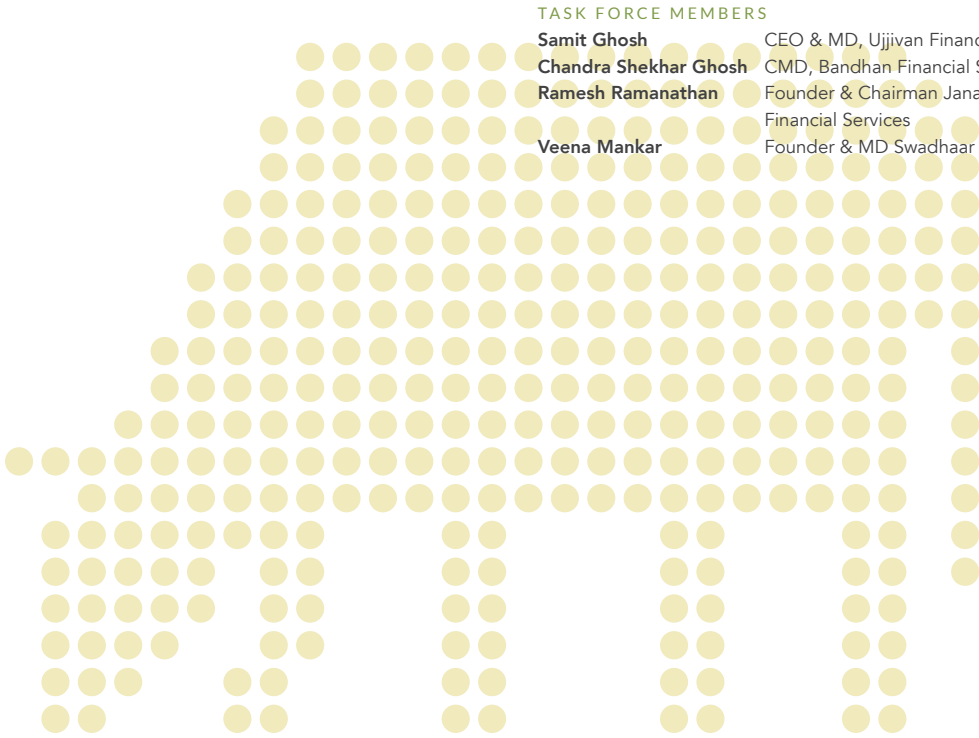
TASK FORCE MEMBERS
V S Radhakrishnan CEO Janalakshmi Financial Services
Asoka Chatterjee Head Institutional Finance, Bandhan Financial Services
Kishore Kumar Puli CEO, Trident Microfinance
Ritesh Chatterjee Dy. COO, SKS Microfinance
Sadaf Sayeed COO, Muthoot Fincorp

State Chapters and Membership

The Task Force on State Chapters and Membership was formed in 2013-14 to develop a comprehensive framework of MFIN’s state level engagement. The Task Force had its objective to put in place an effective state level engagement model through state chapters and associations to deepen advocacy, communication and self-regulatory function of MFIN at state and district level. This Task Force was assigned with the responsibility to look at the scope of MFIN membership to make MFIN a more inclusive body. Mr. Govind Singh of Utkarsh is the Chairman of this Task Force. The members of the Task Force are as under:

ACTIVITY HIGHLIGHTS
The Task Force on State chapters and Membership had several rounds of intense discussions and thereafter it submitted its recommendations to the MFIN Board in December 2013. This formed the basis for wider stakeholder engagement plan for MFIN.

TASK FORCE MEMBERS
Govind Singh CEO & MD Utkarsh Microfinance
Mohammad Amin MD, Adhikar Microfinance
Rajaram Kamath CEO, Swadhaar Finserve
SR Sinha CMD, Saija Finance
Suresh Krishna MD, Grameen Financial Services
Vivek Tiwari COO, Satin Creditcare Network



Taxation

The Task Force on Taxation was constituted in 2013-14 to comprehensively examine all tax related issues of the industry and engage with Ministry of Finance (MoF), Central Board of Direct Taxes (CBDT), Central Board of Excise & Customs (CBEC) and wider industry associations such as Confederation of Indian Industry (CII) and Federation of Indian Chambers of Commerce and Industry (FICCI) for a forward looking policy framework. The members of the Task Force are as under:

ACTIVITY HIGHLIGHTS

The Task Force provided guidance in preparing and submitting representation to CBDT and CBEC on direct and indirect tax issues of the industry.

Insurance

The Insurance Task Force was constituted in 2013-14 to comprehensively examine insurance related issues of the industry and engage with IRDA and wider industry associations such as CII and FICCI for a forward looking policy framework.

The background work on the subject was done by the Working Group on Insurance in 2011-12 which included identification of key regulatory issues and challenges faced by the industry. Building on this body of knowledge, the key work of the Task Force on Insurance was to prepare a report capturing key issues and industry standards on insurance for a forward looking policy framework.

ACTIVITY HIGHLIGHTS

The Task Force actively engaged with the IRDA through meetings and representations specifically on the issue of allowing NBFC-MFIs to operate as Micro Insurance Agents. It also brought to the attention of IRDA, various challenges faced by NBFC-MFIs in offering insurance to clients.

TASK FORCE MEMBERS

Samit Ghosh CEO & MD, Ujjivan Financial Services
Manoj Kumar Nambiar MD, Arohan Financial Services

TASK FORCE MEMBERS

K Paul Thomas CMD, ESAF Microfinance
Mohammad Riyaz COO, BSFL
Pravin Kumar Head Operations, Saija Microfinance
Sameer Nanavati Founder& CEO, Disha Microfin
Vivek Tiwari COO, Satin Creditcare Network

General Body Meetings

MFIN Annual General Meeting (AGM)

29TH JUNE 2013 | HYDERABAD

The Annual General Meeting of Microfinance Institutions Network (MFIN) is held every year in the last week of June in Hyderabad, where the registered office of the Society is located.

The General Body Members elected its new Board the MFIN fourth AGM held on 29th June 2013 in Hyderabad. The secret ballot process was adopted for the elections and a total of 36 votes were cast. The Governing Body members elected were:

- | | |
|------------------------------|---|
| 1. Samit Ghosh | MD & CEO, Ujjivan (President) |
| 2. C S Ghosh | Chairman & MD, Bandhan (Vice-President) |
| 3. Govind Singh | MD & CEO, Utkarsh |
| 4. K. Paul Thomas | MD, ESAF |
| 5. Kishore Kumar Puli | MD & CEO, Trident |
| 6. Manoj Nambiar | MD, Arohan |
| 7. Sameer Nanavati | CEO, Disha |
| 8. Suresh Krishna | MD, Grameen Koota |
| 9. V.S.Radhakrishnan | CEO, Janalakshmi |

Elections to the 5th AGM were held on 28th June 2014 in Hyderabad for electing Board Members for the next term.

MFIN Extraordinary General Meeting (EGM)

21ST JANUARY 2014 | HYDERABAD

The Malegam Committee of the RBI had, inter alia, recommended that the RBI should consider recognizing microfinance industry association/s as SRO/s. On 26th November, 2013, the RBI issued the guidelines for Self Regulatory Organizations (SRO) for NBFC-MFIs. In order to bring alignment with the SRO guidelines of the RBI, and enable MFIN to submit SRO application to RBI, the Extraordinary General Meeting of the members was called on 21st January 2014, in Hyderabad.

The agenda of the meeting was:

- To consider and adopt changes in bye-laws of MFIN in light of RBI's guidelines for SROs dated 26th November 2013
- To consider and approve expansion of MFIN coverage across stakeholders other than members (NBFC-MFI)



General Body Meetings

Annual General Meeting

29TH JUNE 2013



Extraordinary General Meeting

21ST JANUARY 2014
HYDERABAD



our work

MFIN's work is organized around three mutually supporting tacks of Self-Regulation, Advocacy/Communication, and Development



self regulation

MFIN has been functioning as a Self-Regulatory Organization (SRO), for its member MFIs, (NBFC-MFIs) based on principles of mutuality. NBFC-MFIs have collectively put in place a strong self-regulatory framework with MFIN to support, monitor and measure individual members' compliance with Code of Conduct (CoC) and regulatory directions include Fair Practices Code stipulated by the Reserve Bank of India.

Over the years, MFIN has taken a number of key initiatives such as introduction of a stringent Industry Code of Conduct, Promotion of transparency in product pricing and operational / financial data reporting, development of Credit Bureau ecosystem for the industry, constitution of Enforcement Committee, sectoral research studies among others to support members to comply with standards of responsible lending, client protection, transparency and business practices.

Code of Conduct

MFIN has a Code of Conduct (CoC) which all the members are adhering to as per their respective Board Resolutions. This is a necessary condition of Membership. The CoC defines core values and fair practices for the industry so as to ensure that Microfinance services are provided in a manner that benefits clients, and is ethical and dignified.

Enforcement Committee

For proper enforcement of the Code of Conduct and exercising oversight for adherence to regulatory norms prescribed by the Reserve Bank of India / Government / any other regulatory authority, MFIN has an Enforcement Committee (EC). The EC comprises of: five (5) members, of which two (2) are elected from amongst the authorized representatives of member institutions and three (3) members, are independent persons of eminence.

Whenever any member of MFIN feels that any other member has violated the Code of Conduct of the Society or the regulations, such member can write to the EC giving details of the same and request action. The EC has been instrumental in the preparation of formal processes for the reporting and inquiry of CoC and regulatory violations.

Last year, the EC received 173 complaints cases mostly related to multiple lending based on Credit Information Report. With a view to deal with systemic issues that give rise to bulk complaints, the EC members decided that the Secretariat should periodically prepare a consolidated report on data submission and report usage for all MFIN members.

Complaint Handling Process by Enforcement Committee

STEPS	TASK	PERMISSABLE DAYS
1	Complaint received by MFIN (with supporting documents)	
2	MFIN processes the complaints and send an enquiry mail to the concerned MFI	1
3	MFI sends the response to MFIN	5
4	MFIN processes the response and sends to EC for discussion and decision	1
5	EC takes the final decision	7
6	MFIN notifies MFI of EC decision	1

Maximum Turn around Time permissible is 15 days from the time a complaint is formally registered with MFIN

Surveillance Mechanism

As a part of SRO's existing Surveillance Mechanism a "Responsible Business Index" (RBIndex) has been created which evaluates financial and social performance of our members across 83 parameters. RB Index is an exercise by Industry to collectively asses their Responsible Business principles and practices.

At present, the RBIndex is being updated annually. RB Index aims to support the industry and individual MFIs in their collective effort towards building a more responsible business framework by **evaluating** responsible business principles and practices.

RB INDEX

OBJECTIVE

RBIndex is an exercise **to collectively assess members (NBFC-MFIs) Responsible Business principles, policies and practices.** This tool helps individual NBFC-MFIs to systematically measure, manage and integrate Responsible Business Practices through **Gap Analysis, Benchmarking and Tracking Progress.**

COVERAGE

The index comprehensively covers RBI Fair Practice Code (FPC) and Industry CoC under four broad areas which are further divided in 83 sub-parameters to form the maximum total score of 100.

- Disclosures to customers (weightage 32%)
- Customer engagement (weightage 21%)
- Institutional processes (weightage 38%)
- Transparency (weightage 9%)

RB INDEX 2013-14

87%

AVERAGE INDUSTRY SCORE

Overall the scores reveal a very high degree of compliance to RBI FPC and the Industry CoC

Average score is higher (87%) for NBFC-MFIs (34) participating in the exercise for second time as compared to NBFC-MFIs (5) participating for the first time (77%)

Half of the NBFC-MFIs (19) have score above 90%

However, there is scope to improve the institutional process, especially on indicators related to HR, Board and customer engagement related to customer education/rights and welfare

90%

DISCLOSURE TO CUSTOMERS

85%

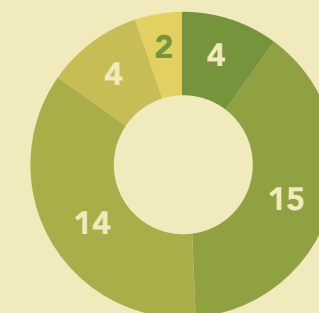
INSTITUTIONAL PROCESS

86%

CUSTOMER ENGAGEMENT

87%

TRANSPARENCY



DISTRIBUTION OF NBFC-MFIS BASED ON OVERALL SCORE

- > 95%
- 90% - 94%
- 80% - 89%
- 70% - 79%
- < 70%



advocacy and communications

MFIN's vision of promoting inclusive growth drives its Advocacy efforts. An essential element of advocacy is building relationships with all stakeholders and working collaboratively for finding good solutions which can work on the ground.

At a broad-brush level, financial exclusion requires MFIN to work for policy change so as to constructively address core issues which have inhibited 'inclusion' not withstanding all the policy initiatives of the RBI and the Govt. of India.

MFIN's engagement with various stakeholders has been through:

- Connect
- Inform
- Consult
- Collaborate
- Evolve

The broad policy objectives that MFIN has been working towards are:

- **Recognition of the industry as an integral component of the national financial system**
- **Creation of a supportive and well defined regulatory framework for the sector**
- **Promulgation of fiscal policies that aid and facilitate the growth of the industry & promote access to finance**

MFIN has been proactively leading the policy debate on financial inclusion issues and representing the views of the microfinance industry to the central & state governments, the RBI and other regulators in pursuance of the broad policy goals as enunciated above.

Key Activities Last Year

The Reserve Bank of India continued its approach of developing a forward looking regulatory framework for the industry. A significant milestone was announcement of SRO guidelines by the RBI on 26th November 2013. The RBI decided to grant self-regulatory status to associations in the microfinance industry which are compliant with its said guidelines. This policy approach by RBI on SRO is unprecedented in the history of financial system in India.

In line with the above approach, MFIN continued its engagement with a wide variety of stakeholders. Some of the key advocacy related activities taken up during the year are outlined below:

MFIN Inputs to Various RBI Committees / Documents

MFIN played an active role in shaping policy framework for the industry. To work towards shaping a forward looking architecture for financial inclusion, MFIN submitted its detailed comments on the RBI Discussion paper on "Banking Structure in India – The Way Forward".

In continuation of the above public policy goal, MFIN had series of discussions with the RBI Nachiket Mor "Committee on Comprehensive Financial Services for Small Businesses and Low-Income Households". The Committee had sent a letter to MFIN asking it to submit specific comments on the issues raised by the Committee with respect to the Microfinance Industry. MFIN submitted two detailed responses to the Mor Committee.

Microfinance Bill

Given the far reaching implications of a legislation on Microfinance, MFIN had engaged with the Parliamentary Standing Committee on Finance and its members to discuss the various aspects of the Bill. A series of meetings were held with a number of Parliamentarians on the MF Bill 2012 across various regions in the country. MFIN appeared before the Parliamentary Committee on Finance for Oral Evidence on 4th October 2013.

The parties who had deposed before the Committee on Finance for Oral Evidence were asked to submit a written response to the queries posed by the Committee members. In this context, MFIN submitted the industry response to address the concerns of the Committee. A meeting was also held with the officials of Lok Sabha Secretariat in this regard. MFIN was informed about four specific concerns of the Parliamentary Committee members by the Lok Sabha, which they indicated require more detailed responses. The four issues in question related to: Interest Rate in Microfinance, risk to Micro-savings taken by MFIs, Provision of raising Loan value limit of Rs 10 lakhs in MF Bill and Collection practices of MFIs. Based on the discussions, MFIN had sent a supplementary response to the Lok Sabha Secretariat on these issues.

RBI Representations / Meetings

Representations were sent to the RBI on the below mentioned issues:

- **To Department of Banking Operations & Development (DBOD), RBI on 'Extension of CDR Mechanism for**

Restructuring of Debts for MFIs in Andhra Pradesh'.

- **Ambiguity in pricing of loans by NBFC-MFIs & Priority Sector Lending in July 2013.**
- **Clarification on the matter of tenure of the loan not to be less than 24 months for loan amount in excess of Rs. 15,000 with prepayment without penalty loan**
- **Regulatory dispensation for MFIs under Corporate Debt Structuring (CDR) regarding Net Owned Funds (NOF) and Capital to Risk-Weighted Assets Ratio (CRAR) requirement with Department of Non Banking Supervision (DNBS)**
- **Non Convertible Debentures (NCD) guidelines**

During meetings with the RBI, the question of how best the Self Help Group (SHG) data can get on-boarded with the Credit Bureaus (CBs) got discussed. MFIN raised the issue of Bank direct lending data lending to microfinance clients not being reported to High Mark / Equifax Credit Bureaus; various micro regulations such as income limits, maximum loan size limits, qualifying assets etc.; pricing issue particularly in the context of disconnect between the Priority Sector Lending (PSL) guidelines and the directions issued by the DNBS.

MFIN was invited for the RBI Pre-Monetary Policy consultation meeting on 18th March 2014 which was chaired by the Governor, RBI. The issues flagged at the meeting were: a) overall feedback on industry situation b) Issues around micro regulations of an operational nature c) Issues around the absence of SHG data with CBs d) Desirability of NBFC-MFIs by permitting to become BCs.

Representation to IRDA

A representation was sent to the Chairman, IRDA which a) captured the outreach of NBFC-MFIs and the role played by them towards achieving financial inclusion objectives of the country and b) challenges for NBFC-MFIs in providing a broad range of insurance products to these clients. A delegation of senior MFIN members met also had meeting with IRDA to discuss insurance related industry issues.

Representation to CBDT & CBEC

MFIN submitted following representations on tax issues:

- **CBEC: Issue related to Levy of Service tax on services rendered by Micro Finance Institutions**
- **CBDT: tax incentives under section 36(1) (vii a) and section 36(1)(viii) of the Income-tax Act, 1961**



Developmental Activities

Right from the days of inception MFIN has been supporting initiatives that aid and promote development of a robust microfinance industry.

Credit Bureau Initiatives

Pre 2010, absence of comprehensive credit information was a key challenge in the development of the sector. MFIN members took the earliest steps in 2010 toward establishing a credit bureau which especially catered to the needs of this industry. MFIN facilitated the establishment of the first Credit Bureau for Microfinance clients (High Mark) aimed at improving credit risk management for MFIs. Other mainstream Credit Bureaus, such as Equifax and Experian now also offer services/products to the microfinance sector. In addition to encouraging a larger number of MFIs to join the Credit Bureau initiative, MFIN monitors the credit bureau compliance across its membership. The credit bureau activities of MFIN aim at: broadening of coverage of the Credit Bureaus, raising awareness about the credit bureau, and improving the credit bureau data quality.

The above efforts have resulted in excellent credit bureau coverage across the industry. All MFIN members are submitting full data to two CBs on a fortnightly basis, and using the credit report for all lending decisions

Two third of MFIN members this year have also moved to weekly submissions. As of 31st March 2014, data pertaining to 10 crore loan accounts have been submitted to the Bureaus

Financial Awareness Project

An essential component to client protection is client education. MFIN provides clients with tools and resources that can help them make wise financial decisions. To raise awareness on credit bureau and the merits of maintaining a good credit history, MFIN in partnership with IFC initiated the Credit Bureau Awareness Project for Microfinance Institutions in India in 2012. The Project is seeking to expand and deepen consumer understanding of the importance of building a strong credit history, as well as the implications of credit information sharing, credit reports and the role of credit bureaus. Further, the Credit Bureau Consumer Awareness Campaign seeks to support MFI's across India to enhance their institutional capacity to effectively deliver, disseminate and implement consistent quality consumer protection and credit related financial education.

Micro Finance Opportunities (MFO) has been identified as the principal vendor for the project to develop the training module and conduct the trainings. Micro Finance Opportunities (MFO) is a pioneer in financial education for the poor around the world, both in developing content and using compelling and consumer-centric delivery processes.

Phase #1 of the project between January and March 2013, saw MFO conduct desk research and stakeholder engagement field visits (to a selection of MFIN MFIs and the Credit Bureaus Highmark and Equifax), which investigated the Pan Indian microfinance sector context related to consumer protection messages, compulsory group training content and credit related financial education. The desk research report has been submitted by MFO.

Phase #2 of the project was focused on MFI Consumer Market Research across a number of MFIN member Microfinance Institutions.

MFO is currently in Phase #3 of the project, the Campaign Build, which includes the creation of a suite of resources and tools to be disseminated through multiple delivery channels.

MFIN and IFC organized a consultative workshop with the Industry Working Group for this Project in Mumbai on 29th July 2013. MFO, the consultant for the project facilitated the workshop. Apart from industry members, credit bureaus also participated in the workshop. The industry members appreciated the range of collaterals being developed on Credit Bureau by MFO. The members were of the opinion that sharing credit bureau report with the borrowers would be premature for the industry at this stage. The

MFO team during its visit to India in July visited two MFIs; FFSL in Bangalore and Saija in Patna to cover photographic elements of the design campaign.

Industry Data & Analytics Services

MFIN has been consistently working towards structuring a comprehensive microfinance industry Information Hub with the objective of supporting policy formulation/dialogue and guiding industry practices. The successful implementation of the data hub will enable MFIN to:

- **Converge existing data points to MFIN India Information Hub**
- **Rationalize and harmonize the data-sets to improve data quality and quantity and**
- **Improve efficiency to reduce members' burden with respect to data reporting**

MFIN has a robust data collection and analytics capability. **The MicroMeter provides quarterly trends of key operational and financial indices for the industry at a Pan India and state level. The MicroScape, based on audited financials of members, provides a comprehensive analysis for full range of operational, financial and funding related data.** A web based platform, Micrometrics is being developed for members for data reporting. During last year four issues of the Micrometer and an annual issue of MicroScape were released.

MFIN has partnered with MIX Market and Microfinance Transparency (MFT) to leverage on their expertise and existing systems and processes to collect and analyze data. These partnerships will allow MFIN complete access to members' operational, financial and social performance, as well as the product pricing data.

Research Studies

In addition to conducting in-house research that produces comprehensive periodic industry reports, MFIN also funds several independent surveys and reports that are intended to identify trends and provide independent perspectives on the Microfinance industry.

MFIN and GIZ collaborated to conduct an online survey of MFIs for the GIZ -Rabobank study of MFIs as BCs. The results of the survey were released in February 2014.

Workshops & Trainings for Members

Human capital has been regarded as vital for the efficient functioning of an organisation because of its contribution in

improving productivity, business performance and economic growth. MFIN with its commitment to promoting healthy growth of the sector organizes training and workshop for members to so as to develop a common industry understanding on key technical issues and thereby avoid any dissonance in industry practices. Following workshops were organised for the members in 2013-14:

WORKSHOP ON SECURITIZATION

A Workshop on Securitization was organized by MFIN in Bangalore on 12th September 2013. The objective of the workshop was to facilitate learning/best practices among members on securitization and formulate standard guidelines on securitization and common position on service tax which can be followed by MFIs across industry. The workshop was facilitated by Gaurav Kumar from IFMR and S. Sunderasan & Krupa Venkatesh of Deloitte. The workshop was well attended by 55 participants. During the workshop, members gave feedback on organizing another workshop on NCDs in near future by MFIN.

WORKSHOP ON ALTERNATIVE DEBT FINANCING

A workshop on alternative Debt Financing was organised by MFIN for its members on 6th December, 2013 in Mumbai. The objective of the workshop was to give exposure and create awareness about alternative sources of funding to small, medium and big MFIs,

MEDIA ORIENTATION WORKSHOP

A media orientation workshop was held on 5th December 2013 in Mumbai for MFIN members. Mr. N Chandramouli, CEO Blue Lotus Communications facilitated the session. In a very animated discussion participants expressed various apprehensions and reasons for MFIs to avoid the media. Many participants shared the constructive way in which they have engaged with the media.

WORKSHOP ON NEW COMPANIES ACT 2013

A Presentation on the new Companies Act 2013 was organized for the members on 21st January, 2014 in Hyderabad, The presentation and discussions were initiated by experts from Ernst&Young.



Looking Back

A Photo Retrospective of MFIN Workshops

IFC-MFIN Credit Bureau Awareness Industry Working Group Workshop

29TH JULY 2013
MUMBAI

Participants at IFC-MFIN
Credit Bureau Awareness
Workshop (top & bottom)



Debt Financing Workshop

5TH DECEMBER 2013
MUMBAI

Mr. Alok Prasad, CEO,
MFIN, making opening
remarks (left)

Mr. Kalpesh Gada, ICRA
speaking at the workshop
(right)



Participants at Debt
Financing Workshop



Media Orientation Workshop

5TH DECEMBER 2013
MUMBAI

Mr. Alok Prasad, CEO, MFIN making opening remarks (top)

Mr. N Chandramouli, CEO Blue Lotus and Trainer (middle)

Mr. Dibyajyoti Pattnaik, CFO AMPL sharing his views (bottom)



Workshop on Companies Act 2013 conducted by Ernst & Young

21ST JANUARY 2014
HYDERABAD

Mr. Sandip Khetan, from S R Batliboi (E&Y) addressing the participants

Participants at The Companies Act Workshop (bottom)



regional activities

For the microfinance industry, the state is a critical functional unit since retail operations of Microfinance Institutions (MFIs) are built around states. Better coordination at national, state and district level and mutual cooperation among member MFIs through MFIN state chapters, and state level associations promote healthy growth of the industry.

Regional Activities

MFIN has maintained active engagement with various stakeholders at the state level. MFIN has three State Coordinators based out of Bhopal, Chennai and Hyderabad for looking after regional activities.

In addition to these, MFIN works closely with and supports established regional Microfinance Associations such as Association of Karnataka Microfinance Institutions (AKMI), Association of Microfinance Institutions – West Bengal (AMFI-WB) and Kerala Association of Microfinance Institutions (KAMFI) Uttar Pradesh Microfinance Associations (UPMA)

During the year, a number of high level meetings in MP were held namely with, Deputy Inspector General (DIG) – Economic Offences Wing (EOW) Odisha, Additional Chief Secretary (Finance), Odisha; Principal Secretary Finance, Govt. of Jharkhand, Principal Secretary, Govt. of Madhya Pradesh, Principal Secretary, Commissioner, Institutional Finance MP. Meetings at the regional level were held with RBI, Small Industries Development Bank of India (SIDBI), Life Insurance Corporation of India (LIC), and Public Sector Banks (PSBs). On many occasions the state chapter had to play an active role in crisis management on the issue of fraudulent chit fund scams and engaging with the state/district official on action in such cases. A number of district meetings were held to resolve issues related to moneylenders, theft and other external troubles in the operations of microfinance institutions.

MFIN MP state representative participated in the Financial Inclusion Consultative discussion led by Mr Anurag Jain, Joint Secretary (JS), MoF, Government of India (Gol), at Bhopal in August 2014; Credit Bureau Quality Enhancement Exercise with Quadit on 24th December 2013 at Ahmedabad and Seminar on Adult Literacy organised by Nat Nagar Shodh Sansthan, Mandsaur on 10th January 2014 .

MFIN state chapter facilitated Equifax in organising a credit Bureau awareness seminars at Pune on 17th June 2013 and in Mumbai on 5th June 2013.

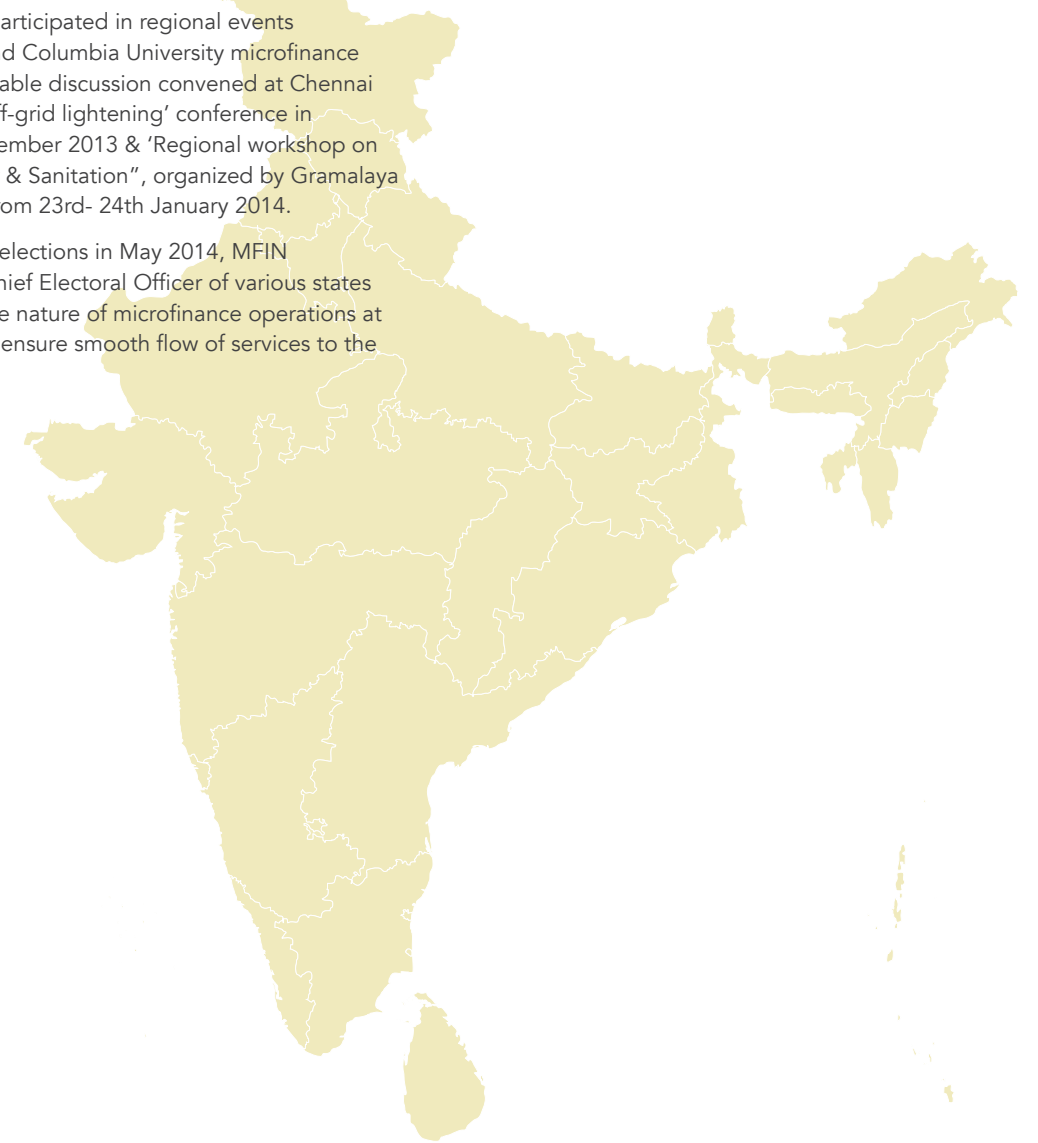
A total of 6 meetings were organised by MFIN in southern region in the year 2013-14. MFIN was one of the organizers of the “Financial inclusion conclave and felicitation for Mr. Ramasubbu, MP, Tirunelveli on 13th July 2014 along with BWWDA. The state representative had substantive meetings with Mr. Thambi Durai, MP, Karur on 17th July 2013 and gave him industry update in the context of the pending MF Bill.

MFIN supported RBI in organizing district level financial literacy awareness campaigns in Erode on 4th March 2014

and at Salem on 20th February 2014, in which around 1,600 clients from various member MFIs participated. In July and August 2013, a credit bureau awareness training for district level MFIs' staff was organized in association with Equifax in which around 350 staff members from 14 MFIs participated.

MFIN representative participated in regional events namely; CMF-IFMR and Columbia University microfinance research study round table discussion convened at Chennai in February, IFMR's 'Off-grid lightening' conference in Chennai on 22nd November 2013 & 'Regional workshop on Microfinance for water & Sanitation', organized by Gramalaya Foundation at Trichy from 23rd- 24th January 2014.

In view of the general elections in May 2014, MFIN representatives met Chief Electoral Officer of various states to brief them about the nature of microfinance operations at the field level so as to ensure smooth flow of services to the clients.



mfin events

During 2013-14, MFIN organized and participated in events and conferences with the aim to share knowledge, stimulate innovation and ideas and promote policy debates amongst various stakeholders.

DEBATE

Mint Clarity

31st July, 2013 | Mumbai

MFIN-MINT Clarity through Debate: "Architecture of Financial Inclusion"

MFIN along with State Bank of India (SBI) as principal sponsor organized Mint Clarity through Debate on Financial Inclusion on 31st July, 2013 in Mumbai. The theme of the discussion was 'Architecture of Financial Inclusion - The Indian Model'. Mr. K C Chakraborty, Deputy Governor, RBI was the chief guest for the event. The discussion was moderated by Mr. Tamal Bandyopadhyay, Dy Managing Editor, Mint. The other panellists at the event were: Mr. Vijay Mahajan, Chairman - Basix Group; Dr Rajiv Lall – MD, IDFC Ltd; Mr. Alok Prasad – CEO, MFIN, Mr. Sashi Jagdishan, CFO, HDFC Bank and Mr. Shashwat Sharma, Partner, Financial Services, KPMG India.

HIGH LEVEL ROUNDTABLE DISCUSSION

Savings of the Poor

8th August, 2013 | New Delhi

MFIN - Governance Now Roundtable

MFIN, in collaboration with Governance Now organized a high level Roundtable discussion in New Delhi on 8th August, 2013. The roundtable discussion were focused on issues around "Savings of the Poor" - broadly in the context of chit fund and collective investment scheme scams unearthed over in recent times. The objective was to discuss the role of 'regulated non-bank entities' like Business Correspondents, SHGs, and MFIs in offering a safe, convenient alternative for deposits. Mr. Prem Das Rai, Sikkim Democratic Front, Lok Sabha, MP & member of the Parliamentary Standing Committee on Finance, Mr. Anurag Jain, JS (Financial Services), MoF and Mr. Vijay Mahajan, CEO, Basix were some of the active participants in the event.

CONCLAVE

Dun & Bradstreet "Financial Inclusion Conclave"

13th August, 2013 | Hyderabad

MFIN-Dun & Bradstreet "Financial Inclusion Conclave"

MFIN along with Andhra Bank as principal sponsor organized Dun & Bradstreet "Financial Inclusion Conclave" in Hyderabad on 13th August, 2013. The chief guest of the event was Mr. Ponnala Lakshmaiah, Honorable Minister, IT, AP Govt. Other prominent speakers included Mr. M. V. S. Rami Reddy, Deputy Director General, UIDAI; Mr. B.A. Prabhakar, CMD, Andhra Bank. The theme of the event was "Journey Ahead: Tie-in Social Obligation & Business Opportunity". During the workshop, key stakeholders highlighted the challenges and discussed solutions to financial inclusion so that financial services can reach the bottom of the pyramid segment.

MEETING

MFIN Bankers' Meet

6th December, 2013 | Mumbai

MFIN Bankers' Meet

A meeting of Bankers and MFIN members was held on 6th December, 2013 in Mumbai. The meet provided an opportunity for interface between the two stakeholders to discuss industry issues. Sixteen banks participated in the meeting.

PLENARY SESSION

Access Summit

9th December, 2013 | New Delhi

Access Summit

MFIN as Technical Partner steered the plenary session on "Small Finance Banks – an idea whose time has come?" Mr Vijay Bhaskar, ED, RBI addressed the plenary session. MFIN sponsored the session: "Fresh evidence on impact: delivering on the promise?" - Prof Samar K Datta, Centre for Management in Agriculture, IIM-A and author of Ujjivan Impact Study & Mr. Nikhil Prabhu, MD and CEO, Delphi India the lead author of Bandhan Impact Study presented the two case studies. MFIN provided support to the Access team on preparing the docket for the session. CDs of the two impact studies along with the session docket were given to the conference participants with the kit bag.

WORKSHOP

South Asia workshop on Credit Reporting

11th December, 2013 | New Delhi

South Asia workshop on Credit Reporting

IFC in association with MFIN and its other partners organised the South Asia workshop on Credit Reporting in New Delhi on 11th December, 2013. The workshop was organised to discuss the results and roadmap for increasing the usage and improvement in data quality. Mr Alok Prasad was a speaker in the first session "Current Status of Microfinance Credit Reporting in India"

ROUNDTABLE

Client Protection Assessments - Opportunities for Convergence & Collaboration

11th April, 2014 | Mumbai

MFIN-IFC-Smart Campaign Roundtable on Client Protection Assessments

In pursuance of the Responsible Finance Agenda, MFIN organized a Roundtable on "Client Protection Assessments - Opportunities for Convergence & Collaboration" on 11th April, 2014 in Mumbai. The Roundtable was convened by MFIN in collaboration with International Finance Corporation (IFC) and Smart Campaign. The Roundtable was organized to provide a consultative platform for the full range of stakeholders engaged in Microfinance for convergence & collaboration of efforts towards the public policy goal of customer protection. The stakeholders came together to share views on the existing tools and methodologies in client protection assessments within the overall framework of current regulatory requirements.

Mr. NS Vishwanathan, PCGM, DNBS, RBI delivered his remark in the session on 'Building Effective Customer Protection Systems- Regulatory Lens'. All stakeholders agreed that there is a need for harmonization of approaches, methodologies, terminologies, and measurement schemes for client protection and that MFIN should take this forward in consultation with various stakeholders

MFIN PRIVATE EQUITY INVESTORS MEET

Investment Conclave - 2nd Edition

10th June, 2014 | Mumbai

MFIN-Venture Intelligence Investment Conclave

Building on the franchise of the first edition of MFIN Private Equity Investors Meet, the 2nd Edition of the Investment Conclave was held in Mumbai on 10th June, 2014. The event was attended by leading 26 PE/VC investors, 25 NBFC-MFIs & credit rating agencies who come together to discuss opportunities for investment in the industry. The key note address was given by Mr. Samit Ghosh, President, MFIN.



MFIN POLICY DIALOGUES

Committee on Comprehensive Financial Services for Small Businesses and Low Income Households (CCFSSBLIH)

ROUNDTABLE DISCUSSION ON THE REPORT OF THE RBI COMMITTEE
21st February, 2014, New Delhi

As a part of its ongoing advocacy initiatives on financial inclusion, MFIN launched 'MFIN Policy Dialogues', on 21st February, 2014. The Dialogue is intended to be a biannual event and aims at highlighting current and relevant issues that affect the larger framework of financial inclusion.

The first in the series of the 'Dialogues' was a half day event to discuss at length, the recently released Report of the "Committee on Comprehensive Financial Services for Small Businesses and Low Income Households" (CCFS), chaired by Dr. Nachiket Mor.

MFIN was supported by the National Housing Bank (NHB), the apex Financial Institution for housing finance. The event was well attended with over 50 participants representing Government, regulators, multilateral institutions, MFIs, Banks, leading financial inclusion consultants and other key stakeholders.

The participants discussed wide range of changes required in the existing financial architecture and the Government stated agenda of financial inclusion. The session was moderated by Ms. Monika Halan, Editor, Mint Money and made for a very animated discussion.

MFIN Participation in Other Events and Forums

Microcredit Summit

10TH OCTOBER, 2013 | MANILA

CEO, MFIN participated as a panellist and also as a member of the Advisory Committee.

Financial Inclusion 2020 Global Forum

28-30TH OCTOBER, 2013 | LONDON
Center for Financial Inclusion

SIDBI-PSIG Workshop on Micro Pensions

10TH DECEMBER, 2013 | NEW DELHI

Social Performance Task Force (SPTF) Workshop

11TH DECEMBER, 2013 | NEW DELHI
SPTF and Access Assist

Financing Urban Sanitation Workshop

23RD JANUARY, 2014 | NEW DELHI
Ministry of Urban Development

ET Financial Inclusion – Banking the Unbanked Vision 2020

30TH JANUARY, 2014 | MUMBAI

VII Mint Annual Banking Conclave

30TH JANUARY, 2014 | MUMBAI

Annual CAB-M-Cril Seminar

20TH FEBRUARY, 2014 | PUNE

Water Credit Forum

26TH FEBRUARY, 2014 | MUMBAI
Watercredit.org

3rd Annual 'Base of the Pyramid Conclave – Building Scale & Sustainability'

5TH MARCH, 2014 | BANGALORE

Asia-Pacific Forum on Financial Inclusion

19-20TH MARCH, 2014 | SHANGHAI
Shanghai National Accounting Institute (SNAI)

CII 'AGM & National Conference 2014 – Managing Change Role of leadership & Institutions'

27TH MARCH, 2014 | NEW DELHI



MFIN-MINT 'Clarity Through Debate'

31ST JULY 2013
MUMBAI



MFIN - Governance Now Roundtable

8TH AUGUST 2013
NEW DELHI



6TH DECEMBER 2013
MUMBAI

Mr. NS Vishwanathan,
PCGM, DNBS, RBI,
Mumbai addressing the
gathering at Bankers'
Meeting (bottom)



Participants at the Bankers' Meeting (top & bottom)



MFIN Policy Dialogues

21ST FEBRUARY, 2014
NEW DELHI

Dr. Nachiket Mor speaking at the Roundtable (top)

Mr. Samit Ghosh, President MFN at the Roundtable (middle-left)

Mr. RV Verma, Chairman National Housing Bank at the Roundtable (middle-right)

Dr. Aruna Sharma, Additional Chief Secretary (PR& RD), MP Govt. At the Roundtable (bottom-left)

Ms. Monika Halan, Moderator at the Roundtable (bottom-right)



Participants at the Roundtable (top & bottom)



MFIN-IFC-Smart Campaign Roundtable on Client Protection Assessments

11TH APRIL 2014
MUMBAI



MFIN-Venture Intelligence Investment Conclave

10TH JUNE 2014
MUMBAI



partnerships & collaborations

MFIN partners with industry stakeholders for institutionalizing the adoption and adherence of responsible finance principles into microfinance.

MFIN is a founding member of Responsible Finance Forum (RFF), formed in 2011 with the objective of institutionalizing the adoption and adherence of responsible finance principles into microfinance. Other members of RFF consist of representatives from IFC, World Bank, DFID, SIDBI, Michael & Susan Dell Foundation, Access Development Services and renowned microfinance practitioners.



partnerships & collaborations



ifc & mfin

IFC is one of the most significant partners for MFIN. IFC and MFIN continued their collaboration to strengthen micro finance sector in India by promoting initiatives aimed at bringing improved governance and greater transparency to the sector.

One of the most significant initiative jointly taken by IFC and MFIN has been promoting Credit Bureau Reporting in the Industry. IFC with its global expertise has played a key role in supporting the Indian microfinance industry to move towards a full-fledged credit bureau reporting system and development of CB standards. IFC and MFIN partnership has successfully worked in achieving the objectives of controlling over indebtedness and multiple borrowing through an effective system of credit data reporting by MFIs.

In the first phase, the focus was on getting MFIs to report to the credit bureaus. The second phase of cooperation on credit bureau project focused on broadening the coverage of credit bureau and creating greater awareness levels on credit bureau sectorally. This year, in the third phase IFC-MFIN partnership focused on addressing the data and report quality issues in microfinance credit reporting. MFIN and IFC jointly commissioned a study in October, 2013. Qadit Systems & Solutions was hired as the consultants for the study. The consultant submitted the Report with recommendations in February 2014.

Another joint IFC-MFIN Project is focused around improving the efficacy of the Microfinance Credit Bureau Ecosystem, is the "Credit Bureau Awareness Project". This initiative intends to create client awareness on Credit Bureau

reporting and credit information sharing. The designing of the literacy collaterals is expected to get completed this year and various awareness modules to be launched by end of the year for the industry.

IFC – MFIN STUDY

Addressing quality issues in credit data

To address the data and report quality issues in microfinance credit reporting, MFIN and IFC jointly commissioned a study in October, 2013. Qadit Systems & Solutions was hired as the consultant for the study. Background work for the study was done by them from October 2013 - January 2014, which included:

- a. Online survey of MFIN members
- b. Field visits to 15 member institutions
- c. Visits to the 3 Bureau offices
- d. Review of CDF submitted to Bureaus in September, 2013 (based on NOCs received)

The detailed report comprising of the findings, recommendations and actionable was provided by Qadit in the beginning of February 2014. The Credit Bureau Task Force reviewed the report and suggested that the problems identified should be appropriately dimensioned and the recommendations prioritised.

Key Recommendation for MFI - Ensure a minimum of 2 KYC documents to be collected from the client and captured in MFI MIS – with one of them necessarily being either UID or Voter ID. All MFIN members are, directionally, expected to move towards capturing 2 KYC documents for ensuring better quality data and report from bureaus.

Key Recommendation for Bureaus - to have standardized criteria for rejection of data by all Bureaus.

mft & mfin

For monitoring pricing and its transparency within the industry, MFIN and Microfinance Transparency (MFT) have partnered to calculate and disclose prices of MFIN members. The exercise aims to make pricing data of MFIN members available in the public domain. The project aims at setting the benchmark not only for the microfinance industry but also for the entire financial sector in India.

Microfinance Transparency is an international non-governmental organization that promotes transparency by facilitating microfinance pricing disclosure, offering policy advisory services and developing training and education materials for all market stakeholders.

The pricing data for India (for MFIN members), was made available on the MF Transparency website from 2nd September 2013. Considering the sensitivities around loan pricing in India, MFIN made sure that MFT display page for India has additional data points such as Annual Percentage Rate (APR) with various combinations, cost to customer, income to MFIs, and compliance with RBI directions etc. This modified display ensures that pricing data for MFIs is accurately and comprehensively understood by a range of stakeholders.

India is the only country where MFT website has adopted changes to accommodate country specific disclosures.

MFT -PRICING REPORT

The median of interest rates charged by MFIs in India is 25.87%. 94.57% of total microfinance customers were charged 26% or less interest rates. Loan products are dominated by one year tenor and weekly repayments schedule.

mix & mfin

MFIN and MIX market have partnered for improving scale, scope and quality of data availability on microfinance industry in India. The partnership has improved the quality of data available for the industry considerably. MFIN and MIX have also engaged in collective data collection on quarterly and annual basis in order to reduce the burden of multiple data submissions for MFIs to multiple agencies.

MFIN-MIX dialogue was held on 13th March, 2014 in Hyderabad. The dialogue was initiated to exchange information about the current status of Indian Microfinance Industry along with recent developments in the sector by the two entities. It was emphasized by MFIN that global platforms like MIX should incorporate local characteristics of the industry and use terminology which is more prevalent in the region. It was also underscored by MFIN that the platform should be made MFI-requirement friendly so as to enhance its value proposition for the users.

giz & mfin

GIZ and Rabobank had commissioned a study in 2012-2013 to conduct a broader study of MFIs as BCs, using qualitative research, field visits, workshops and an online survey. GIZ collaborated with MFIN to conduct the online survey of MFIs. The results of the survey were released in CAB Seminar in February 2014.

GIZ – MFIN STUDY

MFIs as Business Correspondents of Banks

To understand the readiness/experience of MFIs (not-for profit and for profit), their role, expectations in functioning as Business Correspondents (BC). MFIN & GIZ collaborated to study the “MFIs as Business Correspondents” space via MFI workshops and an online MFI survey. The inputs of the survey were collected in December 2012. The results of the survey were released on 20th February 2014 at CAB, Pune jointly by MFIN and GIZ. Forty nine NBFCs, twenty Non-Profits and one cooperative society participated in the survey.

KEY TAKEAWAYS

Willingness to become BC and specifics

- 94% of NBFC-MFIs want to be BC of bank
- 94% NBFC-MFIs and 62% Non-Profit MFIs indicated that providing BC services is a strategic fit for them
- 94% NBFC-MFIs and 62% Non-Profit MFIs indicated that clients demand non-credit financial products
- 96% NBFC-MFIs and 100% of Non-Profit MFIs would require one year to start BC operations
- 65% NBFC-MFIs and 53% Non-Profit MFIs prefer to offer all product namely, savings, credit, domestic money transfer, G2P payments through BC offering
- 78% NBFC-MFIs and 53% Non-Profit MFIs prefer a combination of both flat rate per transaction and %age of transaction amount as remuneration structure
- NBFC-MFIs indicated an interest in initial support with respect to Technical (30%), Financial (26%), Capacity building (24%) and Operational assistance (11%)
- Non-Profit MFIs indicated an interest in initial support with respect to Capacity building (47%), Financial (33%), technical (13%), and Operational assistance (7%)
- For NBFC-MFIs, the key risks in BC offering are operational (3.33%) followed by reputation (3.25%), legal (2.90%), liquidity (2.69%) and credit (2.60%)
- For Non Profit MFIs, the key risks in BC offering are operational (3.43%) followed by reputation (3.19%), credit (2.67%), liquidity (2.57%) and legal (2.43%)

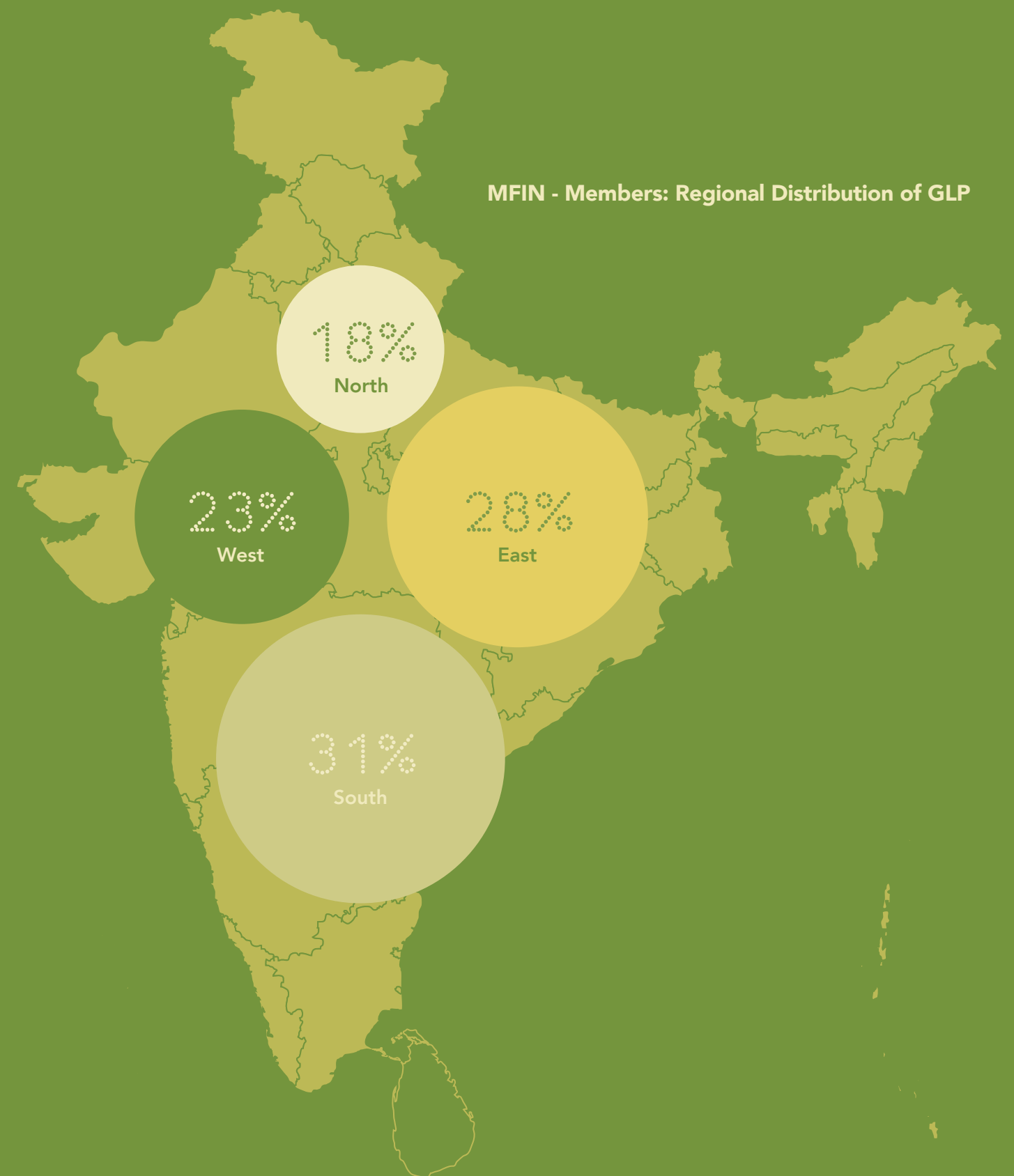
PRIOR EXPOSURE OF BC MODEL

- Handheld/POS machine (50%) and Mobile phone (50%) have been the most popular technology platform used by NBFC-MFIs affiliate that had/have BC operations
- Mobile phone (50%), Web-based MIS (online) (50%) followed by Handheld/POS machine (33%) have been the most popular technology platform used by Non-Profit MFIs that had/have BC operations
- 88% of NBFC-MFIs that had/have BC operations used Non-Profit affiliates; 12% used Private/Public Ltd. companies
- 63% of NBFC-MFIs affiliate that had/have BC operations used professional Technical Service Providers (TSP)
- 67% of Non-profit MFIs that had/have BC operations used Banks as TSPs
- NBFC-MFIs affiliate that had/have BC operations, offered Savings (100%) followed by Credit (25%), Insurance (25%), Domestic money transfer (25%) and Govt. to person payments (13%)

industry trends

Microfinance industry continues to play a significant role in promoting financial inclusion among low income clients in the country.

Operating across the length and breadth of the country, the industry has presence in 30 states/UTs through industry network of 9,780 branches. The year 2013-14 was a transition year for Microfinance Industry both by way of registration by NBFCs as NBFC-MFIs with RBI as well as by way of expansion in regional spread by these institutions. Many of the MFIN members now have nationwide presence. NBFC-MFIs now have fairly distributed portfolios across various regions in the country. As on 31st March 2014, 32 MFIN members have received the NBFC-MFI license from the RBI and the balance are under process.



industry trends

Gross Loan Portfolio

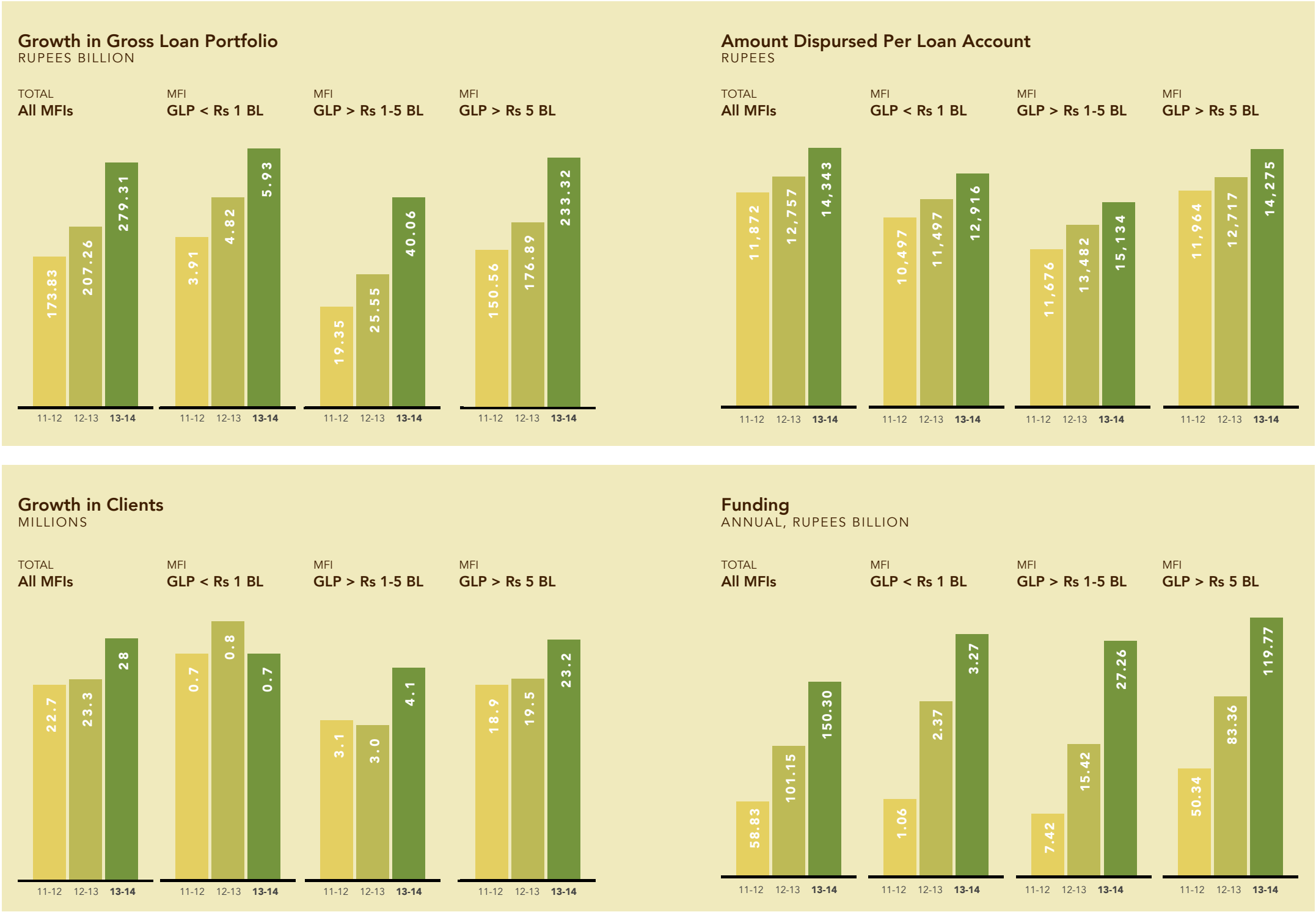
The industry grew at healthy growth rate of 35% in 2013-14 and the total Gross Loan Portfolio stood at Rs 279.31 bn. Last year the comparative growth of 2012-13 over 2011-12 was 19%. Medium size NBFC-MFIs (GLP > Rs 1-5 bn) registered highest growth of 57% over FY 12-13. The GLP growth has been fairly broad based, with 80% of NBFC-MFIs (37) exhibiting an increase in GLP over FY 12-13. As of 31st March 2014, managed portfolio stood at 35.91 bn, an increase of 50% over previous fiscal. Ratio of managed portfolio to GLP remained at 12% like previous fiscal.

Clients

As of 31st March 2014, aggregate clients of NBFC-MFIs stood at 28 mn – growth of 20% over FY 12-13. Medium size NBFC-MFIs (GLP > Rs 1-5 bn) registered highest growth of 37% over FY 12-13. During FY 13-14, average loan amount disbursed per account was Rs 14,343 an increase of 12% over the previous fiscal year. This trend was witnessed across all categories of institutions, large medium and small.

Dispersed Loans

The growth in disbursed loan size is also indicative of the higher loan size requirement by the microfinance clients to finance their enterprises. The inflation effect has also contributed to this growth.



Industry Funding

The annual growth rate of microfinance was backed by commercial bank funding. During FY 13-14, NBFC-MFIs received total debt funding Rs 150.30 bn, 79% from the banks and rest from other Financial Institutions (FIs). Corresponding figures in FY 12-13 were Rs 101.15, 85% from the banks, showing an increase of 49% in FY 13-14. During FY 13-14, small NBFC-MFIs (GLP < Rs 1 bn) have only 44% of their funding from banks while large NBFC MFIs (GLP > Rs 5 bn) have their 84% funding from the banks.

Productivity

The improvement in productivity indicators is symbolic of increased operational efficiency. This year the average clients per branch for NBFC-MFIs stood at 2,867, growth of 12% over The per branch average GLP for NBFC-MFIs exhibited similar increasing trend, a growth of 25% over FY 12-13, at a figure of Rs 28.6 mn. The average clients per loan officer stood at 632, growth of 9% over FY 12-13 while average GLP per loan officer for NBFC-MFIs stood at Rs 6.3 mn, a growth of 22% over FY 12-13.

Portfolio Quality

The PAR for NBFC-MFIs (other than MFIs under CDR) remained well under 1% of GLP reflecting indicating good portfolio quality.



microfinance plus

Initiatives by MFIN members dedicated to helping clients access health, water and sanitation, financial literacy and skill development.

The core mission of financial institutions is to deliver financial products and services to their clients. However, many microfinance institutions leverage their position in the communities they operate in to offer more than just financial products; this added dimension is often referred to as “Microfinance Plus.”



financial literacy / education / awareness building

UJJIVAN Diksha

The Diksha Program being run under the aegis of Parinaam foundation (a sister NGO of Ujjivan) is funded by the Michael & Susan Dell Foundation, Citi Foundation, and Ujjivan. It provides financial literacy to 1,37,374 customers of Ujjivan Financial Services. The main objectives of the program are: understanding the difference between 'wants' and 'needs' and help customers track their cash flows. As part of the program, customers are taught simple numerical skills; how to maintain a financial record of income and expenditure; understand the importance of savings; most crucially, understand how to borrow within her capacity to repay and to be in control of her financial condition. Diksha has also integrated a savings initiative, wherein Ujjivan helps the women open savings accounts and maintain discipline in continuing to save for their future. To further the practical understanding of the

account, Ujjivan transfers the loan amount into these accounts. This ensures that the account is used and will also help in making the shift from a pure cash base model to the bank-transfer model in future. In FY 13-14, 86,994 customers have been trained under Diksha. Out of these 43,377 customers have received their loans through their banks accounts.

Diksha has also received external recognition from the Reserve Bank of India, with the regulator having used some of the content for their own Financial Literacy Program for banks.

SAHAYOG MICROFINANCE Saralyog

Sahayog Microfinance provides financial literacy to its members through an in-house designed pictorial and interactive training program called Saralyog for the women clients which provides financial literacy to its members.



ANNAPURNA MICROFINANCE Financial Literacy Training

As part of credit plus activity, in the year 2013-14 Annapurna Microfinance has trained 17,420 numbers of group leaders on financial literacy. The entire program was conducted through external consultant Mr. Vivek Palan, Director of Net-worth Advisor Private limited. The team consisted of 14 members including Mr. Palan as main trainer. The training covered providing guidance to the women clients on financial products as also inculcate basic management skills so that they can optimally utilize those products to enhance their income.

EQUITAS Gurukul Schools

Equitas has rolled out its Gurukul initiative to provide high quality education to its members' children at an affordable price under the aegis of Equitas Development Initiatives Trust. It conforms to the Matriculation syllabus and is imparted in English medium. There is no upfront donation and the fees are structured to ensure it is affordable for members and break-even is achieved in a 10-12 year period. Equitas has launched 5 pilot Gurukul schools at Trichy, Dindigul, Salem, Coimbatore and Sivakasi. In the next academic year, 2 more schools are planned. The company has board approval for investing 15% of its net worth to purchase land & construct buildings for its schools. The company leases the building to the Trust for it to operate the school. The company donates 5% of its profits to the Trust; which is used to subsidize the operations of Equitas Gurukul.



GRAMEEN FINANCIAL SERVICES Jagruthi

Grameen Financial Services Pvt. Ltd. (GFSPL) recognised knowledge is power and with a desire to make its clients well-informed, it initiated an awareness building program under the name “Jagruthi”. This project aims to create awareness on different subjects ranging from health, food, nutrition, education, hygiene, importance of sanitation to the importance of savings, money management, government services and facilities, etc. to bring about a measurable and lasting impact on the awareness level of our clients in such a manner that it creates a perceptual shift in their minds.

To make it easier for the members to accept, Jagruthi was designed in a manner with which the members can relate and create a connection. GFSPL created a virtual character – Jagruthi, who was introduced to members as a woman coming from the same background as them, who faces similar problems and uses her awareness to counter her difficulties. The message is conveyed to the members every week during their weekly Kendra meeting in the form of a letter from Jagruthi read by the Kendra manager.



BANDHAN Bandhan Education Program (BEP)

Bandhan Education Program aims to reach out to non-school going and drop out children from economically constrained families with special focus on the girl child. Bandhan's pre-primary and non-formal primary schools encourage a diverse age group of underprivileged children to begin and sustain academics amidst a congenial environment. Bandhan has adopted a unique, low cost, innovative model to ensure that underprivileged children are able to receive quality education. An edutainment approach is adopted whereby children are provided free writing materials and books. Children do not have to pay any fees and the school timings are decided upon consensus with the parents. There is no homework and no long vacations. Complimentary books, pencils, slates etc. are provided to each student. The program also aims to ensure 100% attendance of students enrolled in these schools and reduce their dependence on private tutors.

Women from the local community are absorbed as 'para professional teachers', thus ensuring that the community itself takes an interest in the educational proceedings. Monthly parent- teacher meetings are held to update the parents about the performance and requirements of their children which further aid in monitoring the progress of the student.

livelihood training / skill development

EQUITAS Gyan Kendra

Under the aegis of its Trust, Equitas has imparted training to over 3,23,759 members in skills such as tailoring & embroidery, agarbathi/candle making, detergent/phenyl manufacturing and preparing processed food such as pickles & jams. These training programs are structured as one-week long programs.

The skill development program Equitas Gyan Kendra has helped improve the income of the beneficiaries. As per a study commissioned by Equitas, the median value perception of beneficiaries for the skill development program was Rs 200; or twice the fee charged to the member.



market linkage

BANDHAN Bandhan Creations

Bandhan has taken up market linkage initiative with the setting up of Bandhan Creations, a fashion and lifestyle retail store aimed to help underprivileged rural artisans from across the country by providing them a platform to showcase their products and facilitate direct market access by building a sustainable and empowering livelihood option. Bandhan has ventured into creation of market linkage for artisans through a unique three-pronged approach:

- **Financial assistance to artisans**
- **Imparting design development training to make products marketable and in lines with high-end market aesthetics**
- **Establishing direct interface with retail market through Bandhan Creations, a top end retail store and e-commerce**

Bandhan Creations, aims to build a sustainable livelihood option for the artisans. Presently, there are two such outlets of this unique store in the city of Kolkata - one in Salt Lake and the other in Gariahat.



healthcare



UJJIVAN Social Development Programs

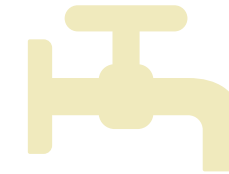
Ujjivan has integrated a social development dynamic into its business model through its Social Development Programs (SDP). Under this program, a portion of the company's profits is allocated to all mature branches (operating for more than 1 year) to initiatives in the areas of Child Welfare and Development, Infrastructure, Health care and Disaster relief. The SDP committee is comprised of both branch staff and customers who belong to the community. Customers' participation is encouraged and helps in the process of selecting the right project. In FY 13-14, 225 social development programs were primarily in the areas of community infrastructure, water hygiene and sanitation, and healthcare touching over 3.4 lakh lives.

EQUITAS Telemedicine

Equitas strongly believes that Telemedicine is the future in health sector, capable of taking quality health care facilities like diagnosis, treatment and prevention of diseases to underserved rural and urban slums beyond the walls of the hospital in a cost effective model- A Pilot has been launched in partnership with Apollo Telemedicine centre in 3 centres at Chennai and 11,469 members have benefitted from this initiative



water & sanitation



GRAMEEN FINANCIAL SERVICES Sugrama Project

GF SPL has launched an initiative named as 'Sugrama Project', in association with Navya Disha. The project Sugrama aims to achieve 100% sanitation coverage in all the target areas & create model villages by extending the services to entire village community. This is an effort to reach the households which have remained unreached up till now and ensure that all the people in these villages imbibe hygienic practices, have access to adequate safe drinking water, adopt rain water harvesting and watershed techniques to improve groundwater level and are facilitated with proper solid waste management and waste disposal systems, making the villages clean and open defecation free.

Currently this project is being implemented in two of the most underdeveloped Gram Panchayaths in Karnataka - Urdigere Gram Panchayath in Tumkur District and Vantamuri Gram Panchayath in Belgaum District.



ANNAPURNA MICROFINANCE SWASTH

Annapurna Microfinance in collaboration with Water.org, KIWA and Oiko Credit has started the SWASTH water and sanitation program for rural population. Currently, AMPL is offering four major products, i.e. hand bore well, new toilet, water pipe connection, and renovation of toilet. The goal is to improve the quality and standard of life of rural poor by mobilizing households' access to appropriate sanitation credit products and execution of low cost, user-friendly sanitary structures. Collaboration with FINNISH Society and WTO is under process.



livestock



CHAITANYA Livestock Health Camps

Many villagers do not take their animals for routine vaccinations and health check-ups due to the remoteness of the villages. Veterinary doctors from the government department do not have the time to visit every village regularly to provide this service. Chaitanya therefore organises Livestock Health Camps: so as to get large number of animals vaccinated, de-wormed, health checked and some essential medicines distributed.

In 2013-14 Chaitanya conducted 3 livestock health camps. Chaitanya has also developed a local livestock educational video which addresses locally prevalent health and productivity issues.

SAHAYOG MICROFINANCE Kamdhenu

Sahayog has initiated 'Dairy Farming promotion' through a project called 'Kamdhenu'. The project seeks to impart scientific dairy farming skill training to small & marginal farmers in order to ensure that for them dairy farming becomes a sustainable & profitable self-employment venture in the long-run. Initially surveys were started from Jhabua village. Later, Harda district was found to be more feasible for the project.

A small number of local people have been selected to impart training, with a view to enlighten the locals about better quality and quantity of milk to be maintained through natural means like feed management of animal, environmental management, breed management. People are trained for acting as cluster supervisor and paravets so that they can impart further training to local people of their area.

The Project aims at training about 1.75 lakh farmers across the entire project.



awards & recognitions

13TH FEBRUARY, 2014

BANDHAN

**Best
Corporate
Social
Responsibility
Idea**

ECONOMIC TIMES
BENGAL CORPORATE (ETBC)
AWARDS

Association of Corporate
Advisers & Executives
(ACAE)
KOLKATA

2013

UJJIVAN

**Innovation
in
Responsible
Business**

Top 100 Most Innovative Companies

INC INDIA
AWARDS 2013

9.9 Media

2013

EQUITAS

**Exemplary
Application
of IT**

CII CONNECT
2013
AWARD

CII

2013

SWADHAAR

**Digital Innovation
on Mobile Wallet**

FINNOVITI
2013
AWARD

Banking Frontiers

Microfinance India Summit 2013

Amul Urdhwarshie,
Vice Chairman, Sahayog
Microfinance receiving the
Award



Finnoviti Awards 2013

Veena Mankar, Chairperson,
Swadhaar receiving the
Award



Smart Campaign Award

DECEMBER 2013
NEW DELHI

Suresh Krishna, MD, Grameen Financial Services receiving the award from Union Rural Development Minister Mr. Jairam Ramesh



Economic Times Bengal Corporate (ETBC) Award

FEBRUARY 2014
KOKATTA

Shri Amit Mitra, Hon'ble Finance, Commerce & Industries Minister, Government of West Bengal hands over the award in the category of 'Best CSR Idea' to Mr C S Ghosh, CMD, Bandhan



2014



**PE/VC Backed
Financial Services
Company of
The Year**

VC CIRCLE
AWARDS
2014

9TH DECEMBER, 2013



**Smart Campaign
Certification**
Smart Campaign

2013



**Truelift
Certification of
'Achiever Level'
by M-CRIL**

TRUELIFT
AWARDS 2013
COMMITMENT TO PRO-POOR
MICROFINANCE PRACTICES



MFIN Members

Adhikar Microfinance
adhikarindia.in

Annapurna Microfinance
ampl.net.in

Arohan Financial Services
arohan.in

ASA International
asaindia.in

Asirvad Microfinance
asirvadmicrofinance.co.in

Bandhan Financial Services
bandhanmf.com

Belstar Investment & Finance
belstar.in

Bhartiya Samruddhi Finance
basixindia.com

Chaitanya India Fin Credit
chaitanyaindia.in

Disha Microfin
dishamicrofin.com

Equitas Micro Finance India
equitasmf.in

ESAF Microfinance and Investments
emfil.org

Fusion Microfinance
fusionmicrofinance.com

Future Financial Services
future.ifapl.com

Grama Vidiyal Micro Finance
www.gvmfl.com

Grameen Financial Services
gfspl.in

Jagdhan Finance & Investments
amil.co.in

Jagran Microfinance
jagaranmf.com

Janalakshmi Financial Services
janalakshmi.com

L&T Finance
ltfinance.com

M Power Microfinance
mpowermicro.com

Madura Micro Finance
maduramicrofinance.com

Margdarshak Financial Services
margdarshak.org.in

Namra Financial Services
armanindia.com

Navachetana Microfin Services
navachetana.in

Muthoot Microfinance
muthoot.com/mmm/micro-finance.html

S.M.I.L.E. Microfinance
smileltd.in

Sahayog Microfinance
sahayogmicro.com

Saija Finance
saija.in

Samastha Micro Finance
samasta.co.in

Sarvodaya Nano Finance
sarvodayanano.org

Satin Credit Care Network
satincreditcare.com

Share Microfin
sharemicrofin.com

SKS Microfinance
sksindia.com

Sonata Finance
sonataindia.com

Spandana Sphoorty Financial
spandanaindia.com

Suryoday Micro Finance
suryodaymf.com

SV Creditline
svcl.in

Svasti Microfinance
svasti.in

Swadhaar Finserve
swadhaar.com

Trident Microfin
tridentmicrofin.com

Ujjivan Financial Services
ujjivan.com

Utkarsh Micro Finance
utkarshmfi.com

Varam Capital
varam.in

Village Financial Services
village.net.in



Board Attendance

MEETINGS									
#	BOARD MEMBER	17 Jul 13	13 Sep 13	19 Dec 14	20 Jan 14	11 Mar 14	1 May 14	27 Jun 14	Attendance
1	SAMIT GHOSH President	*	*	*	*	*	*	*	7/7
2	C S GHOSH Vice President	*	•	*	•	*	*	•	4/7
3	GOVIND SINGH	*	*	*	*	*	*	*	7/7
4	K PAUL THOMAS	*	*	*	*	*	•	*	6/7
5	MANOJ NAMBIAR	*	*	*	*	*	*	*	7/7
6	*M R RAO	-	-	-	*	•	•	*	2/4
7	**KISHORE KUMAR PULI	*	*	-	-	-	-	-	2/4
8	SAMEER NANA VATI	*	*	*	*	*	*	*	7/7
9	SURESH K KRISHNA	*	*	*	*	*	*	*	7/7
10	V S RADHAKRISHNAN	*	*	*	*	*	•	*	6/7
11	***VINAY BAIJAL Independent	-	-	-	-	*	*	*	3/3
12	***RAJAT KATHURIA Independent	-	-	-	-	•	*	•	1/3
13	***SANJAY SINHA Independent	-	-	-	-	•	•	*	1/3
Board Strength as on date		9	9	8	9	12	12	12	
Present		9	8	8	8	9	8	10	
Absent		0	1	0	1	3	4	2	
Not Applicable		4	4	5	4	1	1	1	

CONCALLS										
#	BOARD MEMBER	9 Aug 13	19 Aug 13	04 Sep 13	04 Dec 13	14 Jan 14	17 Apr 14	12 May 14	03 Jun 14	Attendance
1	SAMIT GHOSH President	*	*	*	*	*	*	*	*	8/8
2	C S GHOSH Vice President	*	*	•	*	*	•	•	•	4/8
3	GOVIND SINGH	*	*	*	•	•	*	*	•	5/8
4	K PAUL THOMAS	*	•	•	•	*	•	*	*	4/8
5	MANOJ NAMBIAR	*	*	•	*	*	*	*	*	7/8
6	*M R RAO	-	-	-	-	-	*	*	*	3/3
7	**KISHORE KUMAR PULI	•	*	*	-	-	-	-	-	2/3
8	SAMEER NANA VATI	*	*	*	•	*	*	*	•	6/8
9	SURESH K KRISHNA	*	*	*	*	*	•	*	•	6/8
10	V S RADHAKRISHNAN	*	•	•	•	*	*	•	•	3/8
11	***VINAY BAIJAL Independent	-	-	-	-	-	•	*	*	2/3
12	***RAJAT KATHURIA Independent	-	-	-	-	-	•	*	•	1/3
13	***SANJAY SINHA Independent	-	-	-	-	-	•	•	*	1/3
Board Strength as on date		9	9	9	8	8	12	12	12	
Present		8	7	5	4	7	6	9	6	
Absent		1	2	4	4	1	6	3	6	
Not Applicable		4	4	4	5	5	1	1	1	

* Elected to Governing Board on 14th January 2014

** Resigned from Governing Board on 22nd November 2013

*** Independent Directors nominated on Governing Board in February 2014

ABBREVIATIONS

AGM	Annual General Meeting	M-CRIL	Micro Credit Ratings International Limited
AKMI	Association of Karnataka Microfinance Institutions	MD	Managing Director
AP	Andhra Pradesh	MFI	Micro Finance Institutions
APR	Annual Percentage Rate	MFIN	Micro Finance Institutions Network
BC	Business Correspondent	MFT	Microfinance Transparency
BCSBI	Banking Codes and Standards Board of India	MIS	Management Information System
		MIX	Microfinance Information Exchange
		Mn	million
CAB	College of Agricultural Banking	MoF	Ministry of Finance
CB	Credit Bureau	NABARD	National Bank for Agriculture & Rural Development
CBDT	Central Board of Direct Taxes	NBFC-MFI	Non Banking Finance Company - Micro finance Institutions
CBEC	Central Board of Excise & Customs	NCD	Non Convertible Debentures
CDR	Corporate Debt Restructuring	NGO	Non Governmental Organization
CEO	Chief Executive Officer	NOF	Net Owned Funds
CFO	Chief Financial Officer	NPA	Non Performing Assets
CGM	Chief General Manager	PAR	Portfolio at Risk
CII	Confederation of Indian Industry	PFRDA	Pension Fund Regulatory & Development Authority
CMD	Chairman & Managing Director	PSB	Public Sector Banks
CoC	Code of Conduct	PSIG	Poorest States Inclusive Growth Program
COO	Chief Operating Officer	RBI	Reserve Bank of India
Cr	crore	RRBs	Regional Rural Banks
CRAR	Capital to Risk-Weighted Assets Ratio	SCB	Scheduled Commercial Banks
DBOD	Department of Banking Operations & Development	SEBI	Securities & Exchange Board of India
DFI	Development Finance Institutions	SHG	Self Help Group
DFID	Department for International Development	SIDBI	Small Industries Development Bank of India
DFS	Department of Financial Services	SLBC	State Level Bankers' Committee
DNBS	Department of Non Banking Supervision	SPTF	Social Performance Task Force
EC	Enforcement Committee	SRO	Self Regulatory Organization
ED	Executive Director	TRAI	Telecom & Regulatory Authority of India
FICCI	Federation of Indian Chambers of Commerce & Industry	TSP	Technical Service Provider
FPC	Fair Practices Code	UIDAI	Unique Identification Authority of India
FY	Financial Year	VP	Vice President
GIZ	German Development Cooperation		
GLP	Gross Loan Portfolio		
Gol	Government of India		
IBA	Indian Banks' Association		
ICRIER	Indian Council for Research on International Economic Relations		
IFC	International Finance Corporation		
IIM	Indian Institute of Management		
IRDA	Insurance Regulatory Development Authority		
IT	Income Tax		
JLG	Joint Liability Group		
KAMFI	Kerala Association of Microfinance Institutions		
LIC	Life Insurance Corporation		

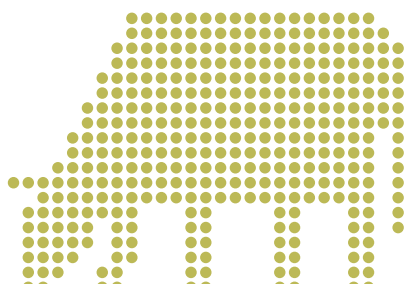
Conversions

1 million = 10 lakhs

1 crore = 100 lakhs

1 billion = 100 crores





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